

PUBLIC VERSION

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.
Complainant

vs.

FLEXPORT INTERNATIONAL LLC
Respondent

**PELOTON INTERACTIVE, INC.'S
INITIAL BRIEF IN SUPPORT OF ITS CLAIMS AGAINST
FLEXPORT INTERNATIONAL LLC**

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John McCown	Peloton Liability Expert Witness
Greg Smith	Peloton Damages Expert Witness
Gary Kardan	Flexport Liability Expert Witness
Defined Terms	
ALJ	Administrative Law Judge
Am. Compl.	Peloton's Verified Amended Complaint filed on October 2, 2024
ATA	Actual Time of Arrival
ATD	Actual Time of Departure
Commission	Federal Maritime Commission

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Compl.	Peloton's Verified Complaint filed on May 8, 2025
CORE	Flexport's proprietary operating system
D&D	Demurrage and Detention
ETA	Estimated Time of Arrival
ETD	Estimated Time of Departure
Flexport	Flexport International LLC
Flexport Charge File	Data extracted from Peloton's Coupa system and Flexport's "Peloton Aggregate Shipment Details" Spreadsheet
First MTD	Flexport's first motion to dismiss filed on June 17, 2024
FMC	Federal Maritime Commission
FTL	Full Truckload Shipments
Kardian Expert Report	Expert report of Flexport's liability expert, Gary Kardian
Kardian Supplement	Supplemental document to the Kardian Expert Report containing a list of documents relied upon for preparation of the expert report.
McCown Expert Report	Expert report of Peloton's liability expert, John McCown
Mohawk	Mohawk Global Logistics Corp.
MSA	Master Services Agreement
MTC	Motion to Compel
MTO	Marine Terminal Operator
NCBFAA	National Customs Brokers and Forwarders Association of America
NRA	Negotiated Rate Arrangement
NSA	Negotiated Service Arrangement
NSAC	National Shippers Advisory Committee
NVOCC	Non-Vessel Operating Common Carrier
OSRA	Ocean Shipping Reform Act of 2022
OTI	Ocean Transportation Intermediary
Parties	Peloton Interactive, Inc. and Flexport International LLC
Peloton	Peloton Interactive, Inc.
Peloton Shipments	3,249 moves of Peloton containers by Flexport
PFF	Proposed Findings of Fact
Relevant Time Period (Peloton)	January 2020-December 2022
RFP	Request for Production
Roche Expert Report	Expert report of Peloton's liability expert, Richard Roche
Shipment Files	Flexport's production of three separate spreadsheets that provided information from Flexport's CORE system.
Smith Expert Report	Expert report of Peloton's damages expert, Gregory Smith

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Smith Supl. Expert Report	Supplemental expert report of Peloton's damages expert, Gregory Smith
Supplemental Exhibit 3	Exhibit 3 from the Smith Supplemental Expert Report
VOCC	Vessel Operating Common Carrier

I. INTRODUCTION

Peloton Interactive, Inc. (“Peloton”) respectfully submits that the record in this matter is unequivocal: Flexport International LLC (“Flexport”) routinely and unlawfully imposed demurrage and detention (“D&D”)¹ charges on 3,249 store door shipments² of Peloton cargo, in flagrant violation of the Shipping Act of 1984, 46 U.S.C. § 40101 et seq. (“Shipping Act”), and the Ocean Shipping Reform Act of 2022 (“OSRA”).

From January 2020 through December 2022 (the “Relevant Time Period”), Peloton paid Flexport over [REDACTED] in transportation costs, with a substantial share attributed to ocean freight services.³ During this period, Peloton relied on Flexport to coordinate the store door movement of its shipments, with contractual counterparties effectuating said movement. Peloton paid premium rates for this service. Yet, as the record shows, \$33.7 million of these costs were for D&D unilaterally and unjustly imposed by Flexport on Peloton—without determining fault, providing meaningful oversight, or providing supporting documentation. These were not isolated missteps—they were deliberate and persistent violations, woven into the fabric of Flexport’s business operations to maximize profit in violation of the Incentive Principle’s letter and purpose.

¹ As used herein, the term “D&D” refers collectively to demurrage, detention, yard charges, and warehouse storage fees as outlined in Exhibit A of Peloton’s Verified Amended Complaint. *See* A-0154.

² “Store door” is an industry term that means door delivery through transport and is interchangeable with other industry terms that mean the same thing, including “door delivered,” “port-to-door,” and “door-to-door.” *See* Roche Dep. Tr. 130:3-18; expert report of Peloton’s liability expert, Richard Roche, (“Roche Expert Report”) at ¶ 1 (“The term ‘store door’ is commonly used in the contracting world of ocean common carriers to refer to Carrier Haulage that includes door-to-door delivery service. This concept is specifically addressed in Section ‘O’ of the Interpretive Rule...”)(citing Interpretive Rule at Sec. 3(O)); Expert report of Peloton’s liability expert, John McCown (“McCown Expert Report”) at ¶ 26 (“Store door is also known as port-to-door. For purposes of my report, the terms can be used interchangeably.”).

³ Peloton is not seeking reparations for any of the over [REDACTED] in ocean freight paid to Flexport for the movement of Peloton cargo. The claim is limited solely to the \$33.7 million in D&D charges and related costs foisted on Peloton because of Flexport’s unreasonable practices.

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Flexport's D&D policy was not designed to incentivize the efficient flow of cargo, but to unjustly enrich itself—directly contradicting the requirements set forth in 46 C.F.R. § 545.5 and constituting an unreasonable practice under the law. In a recent Initial Decision, the Presiding Officer held in *Samsung Electronics America, Inc. v. SM Line Corp.* (hereinafter “*SM Line*”) that “the record as a whole supports a finding that the demurrage and detention policy did not incentivize the movement of cargo but was a tool to maximize profits, did not comply with the incentive principle set forth in 46 C.F.R. § 545.5, and constituted an unreasonable practice to the extent it assessed charges regardless of which party was at fault.” *See* FMC Dkt. No. 23-01, 2025 WL 2231637, at *44 (ALJ May 28, 2025) (no exceptions to this liability finding lodged by the respondent). When reviewing the factual record here, Peloton submits the same conclusion will be reached. Indeed, Flexport's disregard for fair and reasonable practices is succinctly illustrated by the testimony of a former Flexport Senior Client Solutions Associate, who handled Peloton's account and candidly described Flexport's approach to D&D charges:

Q: Did you have procedures on how to determine whose fault it was for detention and demurrage charges?

A: ***I don't necessarily think detention and demurrage is who is at fault.***

Q: So how would you determine if Peloton was responsible for detention and demurrage charges?

A: ***I mean, the assumption is it is their responsibility always.***

B-0668, Peckham Dep. Tr. 170:7-16 (emphasis added).

Flexport persistently disregarded its responsibilities under the rules and regulations of the Federal Maritime Commission (“FMC” or “Commission”) and the Shipping Act in its interactions with Peloton. Flexport has also persistently disregarded discovery orders in the course of this case, and its deliberate withholding of relevant documents that it was required to maintain under FMC regulations warrants adverse inference related to both liability and damages. Finally, in regard to damages, Peloton's expert testimony calculated its direct damages at \$33.7 million. Flexport chose

not to engage a damages expert, only engaging a liability expert, and said expert did not address damages within his expertise, leaving the expert damages analysis unrebutted.

Given Flexport's unlawful conduct, its obstructionist practices, and the clear, compelling evidence in the record, the only just and equitable outcome is an unambiguous and complete finding in Peloton's favor on both liability and damages. This brief, together with the accompanying proposed findings of fact and appendix, conclusively establish that Peloton is entitled to reparations for Flexport's violations of the Shipping Act.

II. SUMMARY OF ARGUMENT

Flexport's egregious and systematic disregard for its obligations under the Shipping Act has inflicted direct and significant harm on Peloton. As a common carrier, Flexport was legally bound to uphold fair, transparent, and reasonable practices in handling Peloton's shipments. Instead, Flexport exhibited a pattern of misconduct: automatically imposing D&D charges without oversight, justification, or any consideration of fault; ignoring regulatory framework meant to ensure efficiency and fairness; and profiteering at Peloton's expense. The record leaves no doubt: Flexport's actions were not isolated oversights but rather part of a deliberate and systematic strategy to maximize profits without regard to regulatory requirements. Flexport purposefully disregarded both the intent and the mandate of the Shipping Act, and in doing so completely undermined the Incentive Principle. These practices, supported by the record, include:

- **Profit Over Compliance:** Flexport engaged in systematic violations of the Shipping Act by routinely and unlawfully imposing D&D charges on thousands of Peloton shipments based solely on its own tariff, prioritizing profit over legal and regulatory compliance.
- **Automatic and Unsupported Assessment of D&D Charges:** Flexport unilaterally originated and enforced millions in D&D charges against Peloton without considering

fault, conducting substantive review, or providing meaningful supporting documentation; these violations of law were deliberate, persistent, and woven into its business model.

- **Failure to Incentivize:** Flexport's D&D policy failed to incentivize cargo fluidity; rather, it was an unreasonable business practice designed to enrich Flexport, directly contradicting the Incentive Principle codified in 46 C.F.R. § 545.5 and interpreted by recent FMC precedent. Flexport routinely charged D&D for delays caused by chassis shortages, port congestion, and inland trucker carrier issues—factors wholly outside of Peloton's control and under the responsibility of Flexport—while providing no meaningful opportunity for Peloton to understand or contest the charges.
- **Violations Persisted After the Implementation of OSRA 2022:** Flexport issued D&D invoices lacking statutorily-required information and continued practices inconsistent with new legal requirements, further compounding its liability.
- **Substantial, Unrebutted Damages:** Expert analysis demonstrates that Peloton suffered \$33.7 million in direct damages due to Flexport's unlawful conduct, with no rebuttal expert testimony presented by Flexport, no deposition taken of Peloton's damages expert, nor production of any credible counter-evidence.
- **Obstructionist Discovery Conduct:** Flexport's repeated failures to comply with discovery orders and deliberate withholding of relevant documents it is required to maintain under the law—including communications and records with its ocean and trucking vendors that moved Peloton Shipments under Flexport's direction, and internal records related to Flexport charging D&D and Shipping Act compliance, the production of which this Court repeatedly ordered—prejudices Peloton's ability to fully prosecute its claims and present a full record for the Commission to scrutinize.

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Taken together, the scope and seriousness of Flexport’s alleged conduct raises substantial concerns with broader implications for regulatory integrity and industry accountability.

III. PROPOSED FINDINGS OF FACT

Peloton’s Proposed Findings of Fact (“PFF”), filed contemporaneously herewith, are incorporated in full by reference. The PFF, developed from extensive discovery in this matter—including documents produced by both parties, deposition testimony of both parties’ witnesses, and documents and YouTube videos (showing Flexport C-Suite admissions of its shortcomings) in the public record—support each cause of action in Peloton’s Complaint.

IV. LEGAL STANDARDS

A. THE FMC’S JURISDICTION OVER CLAIMS AGAINST FLEXPORT

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Dk. No. 02-04, 2006 WL 2007808, at *10-11 (FMC May 10, 2006) (Order Vacating ALJ’s Dismissal Order and Remanding Proceeding for Further Adjudication) (“the Commission is obligated to hear those allegations particular to the Shipping Act, which is consistent with our statutory mandate.”); *see also Cargo One, Inc. v. COSCO Container Lines Co.*, Dkt. No. 99-24, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (the Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations). The Commission has an obligation to address Shipping Act claims, even if the relevant facts may also give rise to other claims between the parties. *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Dkt. No. 21-05, 8 F.M.C. 2d 17, 28, 2024 WL 95383, at *7 (FMC Jan. 3, 2024) (Order Partially Affirming Initial Decision on Default and

Remanding for Further Proceedings) (“Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier’s broader practices beyond those directly affecting the complainant.”).

B. THE SHIFTING BURDEN OF PROOF FOR FMC CLAIMS

To prevail under the Shipping Act, a complainant must prove its allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Dkt. No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that its allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 3 F.M.C. 2d 110, 113, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021) (Order Affirming Initial Decision on Remand). It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may be sufficient; however, such findings may not be drawn from mere speculation. *See Waterman Steamship Corp. v. General Foundries, Inc.*, Dkt. No. 93-15, 26 S.R.R. 1173, 1180, 1993 WL 13975538, at *13 (ALJ Dec. 9, 1993), adopted in relevant part, 1994 WL 279898 (FMC June 13, 1994).

Here, the burden of persuasion initially lies with Peloton presenting a prima facie case demonstrating that Flexport’s challenged practices are unreasonable. The expansive record presented herein establishes well beyond the preponderance of the evidence that Flexport’s D&D practices were unreasonable. Once Peloton meets its burden, Flexport must rebut or justify the challenged practices. *See TCW, Inc. v. Evergreen Shipping Agency (America) Corp.*, Dkt. No. 1966(I), 2025 WL 516256, *7 (FMC Feb. 13, 2025) (“None of Respondent’s justifications, either individually or collectively, are sufficient to establish that Respondent’s charges were reasonable.”); *Exclusive Tug Arrangements in Port Canaveral, Fla.*, Dkt. No. 02-03, 29 S.R.R. 1199, 1222, 2003 WL 1017732, at *31 (ALJ Mar. 4, 2003) (finding that respondent failed to

provide justification for its practices. Rather, “[t]he facts clearly establish that [Respondent] has no standards, regulations or procedure governing applications for tug franchises. The only guiding principle that it has followed consistently is to take all actions necessary to preserve Seabulk's monopoly over the commercial and military tug markets at Port Canaveral.”). This shifting burden is well established; for instance, in *New Orleans Steamship Ass’n v. Plaquemines Port, Harbor & Terminal District*,⁴ after the complainant established a prima facie case of unreasonableness under Section 17 (recodified as 46 U.S.C. § 41102(c)), the respondent was required to provide justification for its actions. Similar principles have been affirmed in decisions such as *Petchem, Inc. v. Canaveral Port Auth.*,⁵ where the respondents’ inability to justify their practices resulted in findings against it.⁶ Flexport cannot meet its burden.

C. STATUTE OF LIMITATIONS

The Commission is empowered to award reparations for actual injury when a complaint has been filed within three years after the cause of action accrued. 46 U.S.C. § 1710(g). *See also* 46 C.F.R. § 502.63(a) (Rule 63(a) of the FMC’s Rules of Practices and Procedure). The FMC has adopted a “flexible approach to the accrual of a cause of action.” *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, Dkt. No. 00-03, 2001 WL 1632551, at *10 (FMC Sept. 19, 2001). Here, for all

⁴ Dkt. No. 83-2, 1985 WL 148970, at *20-22 (ALJ Dec. 30, 1985).

⁵ Dkt. No. 84-28, 1986 WL 170038, at *13 (FMC Mar. 28, 1986).

⁶ *See also Ceres Marine Terminal, Inc. v. Maryland Port Admin.*, Dkt. No. 94-01, 1997 WL 35281266, at *38-39 (FMC Oct. 10, 1997) (finding first that Ceres met its prima facie burden of proving MPA’s practice was unreasonable and finding that MPA failed to show that the practice was justified); *Exclusive Tug Arrangements in Port Canaveral, Fla.*, Dkt. No. 02-03, 29 S.R.R. 1199, 1222, 2003 WL 1017732, at *31 (ALJ Mar. 4, 2003) (“BOE has the burden of persuading the Commission that CPA’s practice of perpetuating [the] exclusive tug franchise was unreasonable. If BOE succeeds in that regard, the burden of proving justification for the exclusive system shifts to CPA”).

charges at issue, the cause of action accrued squarely within the applicable statute of limitations period and is properly before the Commission for adjudication.⁷

V. ARGUMENT

A. FLEXPORT FAILED TO ESTABLISH, OBSERVE, AND ENFORCE JUST AND REASONABLE REGULATIONS AND PRACTICES IN RECEIVING, HANDLING, STORING AND DELIVERING PELOTON’S PROPERTY IN VIOLATION OF SECTION 41102(C) OF THE SHIPPING ACT

As a non-vessel operating common carrier (“NVOCC”), Flexport was bound by law to implement just and reasonable practices in every facet of cargo handling.⁸ Yet the evidence is clear and overwhelming that Flexport did not. Shipping records, internal correspondence, direct testimony from both Flexport and Peloton representatives, and unrebutted expert evidence submitted by Peloton all establish that Flexport, in its role as common carrier, repeatedly and systematically employed unjust and unreasonable practices in handling Peloton Shipments.

The Shipping Act requires a common carrier to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). A violation of the Shipping Act occurs when:

- 1) respondent is a common carrier, marine terminal operator, or ocean transportation intermediary;
- 2) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- 3) the practice or regulations relates to or is connected with receiving, handling, storing, or delivering property;
- 4) the practice or regulation is unjust and/or unreasonable; and
- 5) the practice or regulation is the proximate cause of the claimed loss.

⁷ Peloton is mindful of Flexport’s exaggerated claims that the statute of limitations bars swaths of Peloton charges. As Flexport has yet to put forth actual evidence to meet its burden in asserting this affirmative defense, Peloton has not addressed it substantively herein, but is prepared to do so in its response if needed. For clarity, Peloton filed its complaint on May 8, 2024. The pre-May 2021 amount of D&D invoiced by Flexport account for approximately \$4.2 million in charges.

⁸ NVOCCs are a type of Ocean Transportation Intermediary (“OTI”) regulated by the FMC and, by definition, are common carriers. 46 U.S. Code § 40102(17).

46 C.F.R. § 545.4; *Ports Am. Chesapeake, LLC v. APS East Coast*, Dkt. No. 23-04, 2023 WL 5375588, at *9-10 (FMC Aug. 16, 2023). As detailed below Flexport’s actions directly violated the Shipping Act and satisfies each element.

1. FMC Jurisdiction: Flexport Acted as a Common Carrier Under the Shipping Act for all Peloton Shipments at Issue

The FMC’s jurisdiction is clear based on the totality of Flexport’s conduct during its relationship with Peloton. Under the Shipping Act, a “common carrier”⁹ is defined as an entity that:

1. holds itself out to the general public as providing waterborne transportation of cargo or passengers between the United States and foreign countries for compensation;
2. assumes responsibility for transportation from the port or point of receipt to the port or point of destination; and
3. utilizes, for all or part of that journey, a vessel operating on the high seas or the Great Lakes between a U.S. port and a foreign port.

46 U.S.C. § 40102(7)(A)(i)-(iii); 46 C.F.R. § 515.2(e) (Definitions); *see also CMI Distribution, Inc. v. Service by Air, Inc. Radiant Customs Servs. Inc. and Las Freight Systems Ltd.*, Dkt. No. 17-05, 2021 WL 3367603, *4-5 (FMC July 26, 2021) (hereinafter “*CMF*”). FMC precedent is clear that the determination of common carrier status rests on the totality of the circumstances. *See Worldwide Relocations – Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984*, Dkt. No. 06-01, 2012 WL 11914713, at *5 (FMC Mar. 15, 2012) (“[T]o determine if an entity is a common carrier, it ‘is important to consider all the factors present in each case and to determine their combined effect.’”); *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, Dkt. No. 96-05, 2001 WL 865798, at *27 (FMC June 7, 2001) (“The Commission has held that no single factor determines common carrier status.”); *see also Prudential Lines, Inc. v. Farrell Lines, Inc.*, Dkt.

⁹ A common carrier is a term used to reflect the nature of both vessel-operating common carriers (“VOCCs”) and NVOCCs. The obligations of a common carrier are the same regardless of whether the common carrier is a VOCC or NVOCC. D-1740-1741, McCown Expert Report ¶¶ 53-56.

No. 83-14, 1984 WL 136290, at *14 (ALJ Apr. 30, 1984) (determining that respondent “was found to be a carrier by virtue of what it actually did, not what it named itself.”). It is a fact-intensive inquiry that looks beyond self-serving labels to the actual conduct of the party. *CFI*, 2021 WL 3367603, at *5 (citing *Worldwide*, 2012 WL 11914713, at *5).

Here, Flexport was acting as a common carrier in its dealings with Peloton, and jurisdiction is proper. PFF ¶¶ 15, 321-324. Flexport publicly represented itself as a common carrier, offering store door services for shipments. PFF ¶¶ 321-324. It assumed full responsibility for Peloton’s shipments, managing both ocean and inland transportation, and exercised comprehensive control through its network of subcontractors and its proprietary online platform. PFF ¶¶ 43-61, 120-121. Additionally, Flexport entered into contracts with ocean carriers to transport Peloton’s cargo between U.S. and foreign ports by sea.¹⁰ PFF ¶¶ 44-45, 61. These actions collectively demonstrate that Flexport was acting as a common carrier as defined by the Shipping Act and FMC precedent.

a) Flexport Held Itself Out to the General Public to Provide Transportation by Water Between the U.S. and Foreign Countries for Compensation Under Store Door Terms

Flexport clearly and consistently held itself out to the public as a common carrier providing store door services. *See* D-0010-12, Roche Expert Report ¶¶ 1-10. Common carrier status under the Shipping Act is determined both by how an entity presents itself to the public and the overall scope and nature of its operations. Key considerations identified and applied by the FMC include the entity’s advertising, solicitation practices, and consistent operational behavior. *See Worldwide*,

¹⁰ “A common carrier assumes responsibility for transportation from point of receipt to point of destination. Flexport had that responsibility for both the ocean and inland portions of the transportation services it performed for Peloton. In the freight business, common carriers are recognized as principals and not agents. Indeed, Flexport charged its own freight rates for the entirety of the intermodal transportation and arranged the entirety of the intermodal transportation on its own behalf, not as an agent or a broker on behalf of Peloton.” D-1734, McCown Expert Report at ¶ 27.

2012 WL 11914713, at *6 (“[a]dvertising and solicitations to the public are important factors in determining the issue of ‘holding out’ by an entity,” and the determination of whether an entity is “holding out” is not limited to an analysis of individual shipments); *Rose*, 2001 WL 865798, at *134; *Bernhard Ulmann Co., Inc. v. Porto Rican Express Co.*, 3 F.M.B. 771, 778 (FMB 1952). Each of these factors contributes to the FMC’s evaluation of a carrier’s actual role and responsibilities. *Id.*

Flexport expressly marketed itself as its customers’ “end-to-end supply chain,” exercising comprehensive control over both ocean and inland transportation.¹¹ On its website, Flexport still touts itself as “the platform that coordinates global logistics from factory to customer door – empowering businesses to ship anywhere, sell everywhere and grow faster.”¹² And, Flexport’s own CEO, Ryan Petersen, in June of this year described Flexport’s end-to-end operations this way:

People hire Flexport to move products around the world and move inventory. Business help—we help businesses ship cargo all over the world, so – and it is that complex coordination, so if you’re a brand, you’re you know, a company that makes these glasses, you don’t want to have to deal with all those different vendors, you just hire Flexport and we execute the transaction end to end. And unlike a traditional forwarder we’re doing all that coordination not by email, we actually have built integrations and processes—technology to make that simple, and so you get a single pane of glass where’s my stuff, when is it going to arrive, better estimates for your transit times, sku level inventory level visibility, where’s my stuff, and great pricing because of our now—because of our scale.

“Flexport’s Third Act: Winning in a Broken Global Trade System,” 0:07:53, <https://www.youtube.com/watch?v=p0m8IyT-xFU> (last accessed Aug. 4, 2025). These are public representations from Flexport’s chief executive of its capability and willingness to assume full responsibility for moving goods through the entire supply chain.

¹¹ PFF ¶¶ 22-25.

¹² PFF ¶ 23, <https://www.flexport.com/> (last visited June 24, 2025).

Flexport further held itself out as a common carrier through its direct actions with Peloton. PFF ¶¶ 22-25, 274, 321. When Peloton booked a shipment under Flexport’s “end-to-end”¹³ service model, Flexport issued booking confirmations, freight quotes, and invoices for port-to-door or door-to-door services, arranged both ocean and inland transportation, and provided shipment tracking through its proprietary operating system, CORE.¹⁴ Core serves as the central platform for managing and monitoring shipments, capturing detailed data such as routing timelines, container and commodity information, customs documentation, and billing. B-0365-0366, Tanner Dep. Tr. 96:1-97:16; B-1078-107:9, Breck Dep. Tr. 99:23-100:19. It also calculates charges—including D&D—based on Flexport’s tariff and contractual terms, using embedded logic and automation. PFF ¶¶ 92-102. These actions constituted “consistent operational behavior” in which Flexport provided Peloton end-to-end services for its shipments. *Worldwide*, 2012 WL 11914713, at *5. Flexport’s advertisements and solicitations, along with its conduct and explicit assumption of responsibility for cargo movement, collectively establish that the FMC has jurisdiction over its actions as a common carrier.

¹³ PFF ¶ 22, <https://www.flexport.com/> (last visited August 13, 2025).

¹⁴ CORE is Flexport’s “proprietary operating system” through which it tracks all aspects of shipments from door to door, port to door, or port to port to include “manag[ing] and officiate[ing] shipment movements.” See B-0161-0164, Flexport 143(b)(6) Dep. Tr. 161:8-164:4; B-0365-0366, Tanner Dep. Tr. 96:1-17-97:16. It includes all shipment data such as “client information, shipper information, booking information, commodity information, container information; piece, counts, weights, seal numbers; routing information, such as origin, origin port, destination port, destination; any timeline associated with that routing, such as ETs, ATAs, ETDs, ATDs; customs documentation, custom status, ISF status, invoices, commercial invoices received in PDF form, packing lists, bill of lading information, quotes, the NRA itself, and the invoices.” *Id.* It also includes container arrival dates, discharge dates and outgate dates, as well as free time and D&D. *Id.* Flexport used CORE to calculate charges based on Flexport’s tariff, number of free days, NRAs, and NSAs. B-0162, Flexport 143(b)(6) Dep. Tr. 162: 8-10. Flexport “hardcoded” its tariff into CORE, which calculated the demurrage applicable to that shipment. *Id.*

b) Flexport Was Responsible for and Controlled Peloton Shipments from Point of Origin to Door Delivery

Flexport also assumed responsibility as a common carrier over both the ocean and inland transportation of Peloton Shipments under store door terms. PFF ¶¶ 39,43, 292. Store door service encompasses the entire transportation process, including pickup from the port, inland transportation, and final delivery. *Id.* Per FMC guidance, a common carrier assumes responsibility under store door terms if the parties intended the carrier to act as an NVOCC for the shipments;¹⁵ the NVOCC issued shipping documents that indicated it assumed responsibility for shipments at issue;¹⁶ and the NVOCC exercised control over the goods and their transportation.¹⁷ An entity's routine practices are relevant in determining if the entity assumed responsibility for a shipment based on these factors. *See Eurousa Shipping, Inc., Tobert Grp., Inc. and Container Innovations, Inc. – Possible Violations of Section 10 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. § 515.27*, Dkt. No. 06-06, 2012 WL 13418693, at *24-25 (FMC Dec. 31, 2012) (citing *Worldwide*, 2012 WL 11914713, at *15505). The entirety of Flexport's routine practices establishes that it assumed full responsibility for the shipment of Peloton's cargo—including both ocean and inland transportation—and as such, acted as an NVOCC. PFF ¶¶ 39,43, 292-294, 322-325. Flexport and Peloton mutually intended Flexport to take full responsibility for

¹⁵ See *Earlean Edwards Dukart v. Ocean Star Int'l, Inc.*, Dkt. No. 20-03, 2 F.M.C. 2d 118, 125, 2020 WL 3994385, at *7 (ALJ July 10, 2020) (Order Granting Voluntary Dismissal); *CMI*, 2021 WL 3367603, at *8 (the FMC confirmed the ALJ's reliance on evidence "that SBA employees believed SBA assumed responsibility for delivery of CMI's cargo" in determining that SBA acted as an NVOCC).

¹⁶ See *Worldwide*, 2012 WL 11914713, at *9-10; *CMI*, 2021 WL 3367603, at *8 (in determining SBA was an NVOCC "[t]he ALJ started with the shipping documents in the record, though noting that the Commission 'looks beyond documentary labels'" (citing *CMI* Initial Decision at 16).

¹⁷ See *CMI*, 2021 WL 3367603, at *8 (The FMC confirmed the ALJ's reliance on evidence that "after engaging SBA, CMI ceased having control over the goods and their transportation" and "did not choose which steamship line would transport CMI's goods, had no contact with steamship lines, LAS Freight, or other downstream carriers, and looked solely to SBA for services" in determining that SBA acted as an NVOCC.).

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Peloton's shipments, as reflected in their agreements, Flexport's shipping documentation, and its direct coordination with third-party transportation providers. PFF ¶¶ 118, 133, 292-294.

(1) Both Flexport and Peloton Intended that Flexport Assume Responsibility for Peloton Shipments Under Store Door Terms

The intention of the parties at the time of agreement, even in the absence of other factors, is sufficient to establish that a shipper acted as an NVOCC for a given shipment. *See Earlean Edwards Dukart v. Ocean Star Int'l, Inc.*, Dkt. No. 20-03, 2020 WL 3994385, at *7 (ALJ July 10, 2020) (Order Granting Voluntary Dismissal). Such intention can be discerned from the course of conduct between the parties. *See Crocus*, 2020 WL 7633362, at *15-16. Here, the course of conduct between Peloton and Flexport makes clear that the parties intended Flexport to assume responsibility for Peloton's shipments as a common carrier. PFF ¶¶ 33, 39, 43, 292, 297.

For each shipment, Peloton requested and received store door service and expected that Flexport would be responsible for each shipment as an NVOCC. PFF ¶¶ 33, 39, 43, 47-50, 122, 292, 297. After receiving a shipment request, Flexport would issue a quote specifying whether the services were port-to-door or door-to-door, the pickup and final delivery points, and delivery timelines for each leg of the shipment. PFF ¶¶ 30-41. As an NVOCC, Flexport was responsible for coordinating all transportation legs, including ocean and inland carriage, and for managing any delays. PFF ¶¶ 24, 26, 47, 122, 192, 322-324, 380. These arrangements reflected the parties' mutual intent for Flexport to assume full responsibility for each shipment under store door terms. PFF ¶¶ 39, 43, 292-294, 322-325.

Flexport and its employees understood that store door services were being provided for Peloton Shipments. PFF 22-25, 33, 43. Flexport's Corporate Representative testified that Flexport provided "end-to-end logistics support, including moving cargo" and confirmed that such support "typically involved a shipment of Peloton cargo originating in an overseas location and ending up

at a Peloton warehouse or other inland location in the United States.” B-0048, B-0051, Flexport 143(b)(6) Dep. Tr. 48:6-7; 51:2-8. Flexport Global Key Account Manager, Andrew Banaszak, testified that Flexport used the terms “port-to-door” and “door-to-door,” but that those terms are driven by “door Incoterms”¹⁸ that include drayage and other accessorials. B-0859, Banaszak Dep. Tr. 105:19-22. Senior Director of Compliance, Ryan Tanner, explained that Flexport “would have obligations at origin, along with transportation via steamship line, and then destination portions ... depending on the service type, we may have requested to handle inland drayage at destination to officiate delivery.” B-0408-09, Tanner Dep. Tr. 139:25-140:6. Tanner also confirmed: “[t]he true determination of what services we’re going to offer are what was requested by the client, which was quoted and accepted on that quote, are the services that we’re going to perform.” B-0409, Tanner Dep. Tr. 140:18-21. For a door-to-door quote, Tanner stated that he would expect Flexport to:

[f]acilitate either via our own offices or an origin partner the movement of the goods from the originating location, whether it’s a warehouse or other main location to the port, load it onto the container—or to the vessel via our partner, the master carrier. It would arrive into the U.S., and then we would facilitate, through our actions as a property broker delivery,¹⁹ from the port to the main location, the door

¹⁸ “The Incoterms® are a set of 11 individual rules issued by the International Chamber of Commerce (ICC) which define the responsibilities of sellers and buyers for the sale of goods in international transactions.” <https://www.trade.gov/know-your-incoterms>.

¹⁹ Flexport has asserted that it acted as a property broker or freight forwarder when providing drayage services for Peloton Shipments—i.e., it was an NVOCC only for ocean services and then became a broker or forwarder for purposes of inland transportation. *See* A-0013, Dkt. 10 Respondent Motion to Dismiss the Complaint (“First MTD”) at n.1, B-0141, Flexport 143(b)(6) Dep. Tr. 141:20-25 (“We offer ocean services as an NVOCC, and everything else we offer as our other service providers, whether it’s our customs brokerage under Flexport Customs LLC, or inland transportation as a property broker.”). This argument is very similar to that raised by the respondent in *CMI*, in which SBA unsuccessfully argued that it was not a common carrier or NVOCC but rather an “ocean freight forwarder.” *CMI*, 2021 WL 3367603, at *5. The FMC found this argument unpersuasive given that, in all aspects of its handling of shipments, SBA clearly acted as an NVOCC, including holding itself out as an NVOCC and assuming responsibility for the transportation of shipments by issuing shipping documents and contracting with underlying

that the client would request us to do so...if it says door to door, we're going to move this from door to door using our various services.

B-0410, Tanner Dep. Tr. 141:1-17. Flexport's Senior Client Solutions Associate, Nick

Peckham, likewise explained Flexport's management of Peloton's shipments this way:

Peloton would place a booking with Flexport asking to collect their own cargo from suppliers that they had. Flexport would create a booking with an ocean carrier—depending on the INCO terms (sic), to either collect the shipment from the factory or the factory might be responsible for bringing the cargo to the port – and then manage or create a booking with an ocean carrier. [The] [o]cean carrier would accept the booking, load the cargo onto the container ship. The container ship would go across the ocean to wherever it need to go. The cargo ship would unload it at the port they're supposed to be at. And then, depending on what Peloton had instructed, ***Flexport would issue a delivery order to a trucking partner of our choosing, of Flexport's choosing***, to deliver the container and its cargo to Peloton's designated point of delivery.

B-0554-0555, Peckham Dep. Tr. 56:7-57:4 (emphasis added).

Both parties intended Flexport to assume responsibility over the entirety of Peloton's store door shipments. This intent was consistently demonstrated through the parties' conduct and is more than sufficient to establish Flexport's status as an NVOCC for Peloton Shipments.

(2) *Flexport Contracted, Coordinated, and Communicated with Ocean and Inland Transportation Carriers to Move Peloton Shipments.*

Flexport used its own subcontractors, including ocean vessel carriers and truckers, to arrange intermodal transportation to facilitate the movement of Peloton Shipments. *See* D-0015, Roche Expert Report at 15; D-1734, McCown Expert Report at ¶ 27; B-0055, Flexport 143(b)(6) Dep. Tr. 55:6-14; 89:10-90:9; B-0777-0778, B-0802, B-0811, B-0829-0830, Banaszak Dep Tr.

carriers. *Id.*; *see also* *Chartis Seguros Mexico S.A. v. HLI Rail and Rigging, LLC*, No. 11 Civ. 3238(ALC)(GWG), 2014 WL 988569, at *3 (S.D.N.Y. 2014) (finding that even though HLI calls itself a "transportation logistics provider" and despite using "careful wordplay... [HLI] cannot escape the fact that there is at least some indication that the business HLI conducts constitutes freight forwarding"). Similarly, here, Flexport assumed NVOCC responsibility over the entirety of Peloton Shipments.

23:24-24:6, 48:4-7, 57:12-17, 75:22-76:2. The arrangements with the subcontractors, including the contractual relationships themselves and all necessary direction and coordination, were handled entirely by Flexport. PFF ¶¶ 44, 46-48, 50-54. In *CMI*, the FMC affirmed the ALJ’s finding that the respondent assumed responsibility as an NVOCC when respondent was the “sole conduit for information about its shipments,” and the shipper “did not have direct contact with NVOCCs, drayage companies, or other companies that transported or handled its cargo.” 2021 WL 3367603, at *9. The FMC found it was of special import that the shipper did not select any of the entities that transported their cargo but, rather, engaged the respondent who “took care of everything.” *Id.* at *10.

The same holds true here. Flexport assumed control over Peloton Shipments, directly contracting with third-party carriers to execute full-store door service. . PFF ¶¶ 44, 46-48, 50-54. Peloton was not a party to those contracts, had no right to direct the movement of the cargo under those contracts, and was completely reliant on Flexport to manage those arrangements. *See* PFF ¶¶ 46-48; *see also* B-0060, Flexport 143(b)(6) Dep. Tr. 89:10-20 (“[f]or the containers that Peloton contracted with Flexport to move, as an NVOCC, we are a contractor carriage. Flexport contracted with the master carrier for the ultimate movement of the goods, physical movement of the goods”); B-0089, Flexport 143(b)(6) Dep. Tr. 60:23 (Peloton was not a party to any of the contracts with Flexport’s truckers); B-1687, Peloton 143(b)(6) Dep. Tr. 200:5-16 (“Acting in their capacity as an NVOCC, Flexport would have had and made the arrangements directly with the underlying carriers ... [w]e did not interact with the underlying carriers.”). After arrival at the marine terminal, Flexport’s subcontracted master carriers retained custody of Peloton Shipments. *See* PFF ¶ 51; B-0089-0090, Flexport 143(b)(6) 89:22-90:9. Flexport then directed and paid inland truckers to pick

up the containers and deliver them to Peloton’s specified locations. *See* PFF ¶¶ 52-55; B-0052, B-0055, Flexport 143(b)(6) Dep. Tr. 55:7-10.

Flexport—not Peloton—maintained full control over its subcontracted carriers, making all critical operational decisions throughout the transportation process. PFF ¶¶ 44-55. This included determining whether shipments should be transloaded at Flexport warehouses, scheduling pick-up appointments, sourcing chassis, negotiating free time waivers or extensions, and selecting the appropriate trucking companies. Companies. PFF ¶¶ 44, 48, 103, 298. Flexport even influenced which ports Peloton shipments would enter. PFF ¶ 49.

The record makes plain that Flexport was the sole point of communication with both ocean vessel and inland drayage providers on Peloton’s behalf. *See* PFF ¶¶ 46, 52, 57-58. ; B-0771, B-0925-0927, B-0590, Banaszak Dep. Tr. 17:3-14, 171:2-8, 172:21-173:5, 173:13-20, 196:9-12; B-1688, Peloton 143(b)(6) Dep. Tr. 201:2-7 (“Flexport would have direct communications with the carriers and set the rates directly with their underlying carriers”). While Peloton occasionally interacted with truckers regarding final delivery, this was only permitted when Flexport’s service agreements expressly allowed it. *See* PFF ¶ 57; B-0064-0065, Flexport 143(b)(6) Dep. Tr. 64:23-65:2-8 (Flexport required its truckers to coordinate with Peloton on delivery, pursuant to the contracted services). Significantly, Peloton had no access to the contracts or communications between Flexport and its contractors, nor were these documents produced by Flexport in discovery. PFF ¶¶ 47, 393, 402, 405. Additionally, Flexport leveraged its CORE software platform to oversee and synchronize all aspects of shipment coordination: managing container movements, communicating with carriers, maintaining shipment records, and invoicing customers. *See* PFF ¶¶ 55-56, 148, 244, 246-251; B-0723-0724, Peckham Dep. Tr. 125:22-126:20; *see supra* n. 14. From

the moment Peloton booked a shipment, Flexport exercised complete authority over the cargo until final delivery.

(3) *Flexport Issued Shipping Documents Demonstrating It Was Operating as a Common Carrier Providing Store Door Service.*

Flexport's invoices and shipping documents further establish that it performed store door services for Peloton as an NVOCC. "[F]reight invoices are themselves evidence of assumption of responsibility" and "invoicing entities for ocean freight charges and marking up charges incurred constitutes evidence of assuming responsibility for cargo." *CMI*, 2021 WL 3367603, at *11; *EuroUSA*, 2012 WL 13418693, at *5334. Shipping documents and emails that trace the transportation services performed can also provide evidence that an entity is acting as a common carrier for those services. *See CMI*, 2021 WL 3367603, at *13.²⁰

For each of Peloton's Shipments, Flexport issued an invoice that charged both ocean and inland freight and D&D based on Flexport's tariff. PFF ¶¶ 59-60. As discussed in detail below, Flexport originated D&D charges using its own tariff, and did not merely pass through the charges from its carriers. PFF ¶ 92. Instead, Flexport assessed D&D under its rules tariff in the same way for port-to-door, door-to-door, and port-to-port services. *See* B-0408, Tanner Dep. Tr. 139:1-16. Additionally, Flexport provided quotes for "port to door" and "door to door" shipments for all Peloton Shipments. B-0850-0851, Banaszak Dep. Tr. 96:21-97:1. These quotes indicated Flexport's intent to deliver Peloton Shipments to the "customer location" (i.e., where the customer requests the delivery of cargo). B-0852, Banaszak Dep. Tr. 98:12-17. The MSAs also state that

²⁰ In *CMI*, the ALJ determined the respondent performed NVOCC services based on this same type of evidence: "invoices, shipping documents, and emails that trace the transportation services [respondent] performed, purchased, or charged to [the complainant]. And the documents show that [respondent] provided NVOCC services for the shipments at issue." *CMI*, at *13 (citing 46 C.F.R. § 515.2(k)).

Flexport provided ocean and inland transportation services as part of a single move.²¹ *See* C-0050, Flexport 143(b)(6) Dep. Ex. 4 (measuring KPIs “from departure at an origin port to delivery to final destination”); *see also* C-0051, Flexport 143(b)(6) Dep. Ex. 4 (stating that Peloton’s preference is to “use the same service provider as selected for Ocean services as the service provider for Destination Port drayage”).

Flexport’s status as an NVOCC for the entire movement of Peloton cargo is clear from the breadth of its actions and the responsibilities it assumed throughout the transportation process. Flexport invoiced and collected D&D under its own tariff, managed shipments via its CORE platform, and consistently communicated store door service terms. Flexport arranged container pick-up and return and coordinated with its truckers. These actions are hallmarks of a common carrier. Flexport cannot lawfully profit from providing such comprehensive store door services while sidestepping the licensing and regulatory obligations imposed on NVOCCs. This is not permitted by the Shipping Act nor by equity. *See CMI*, 2021 WL 3367603, at *12 (the Shipping Act does not permit the existence of some type of common carrier “that may operate free from the licensing requirements”).

²¹ Based on its expert report and deposition questioning, Flexport contends its issuance of so called “CY/CY” bills of lading for ocean transportation are dispositive on the issue of whether or not they operated as an NVOCC for the entirety of Peloton’s shipments. However, the FMC has previously rejected the use of this self-serving and limiting language, finding that that “bills of lading [are] not determinative of the issue” if a carrier was acting as an NVOCC. *See CMI*, at *11, *14. Rather, “an entity’s conduct, not the labels it applied, determine NVOCC status.” *Id.*; *see also Worldwide* at *5 (“[t]he Commission has indicated that it will look beyond documentary labels”); *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, Dkt. No. 1216, 9 F.M.C. 56, 66 (F.M.C. 1965) (“it is the status of the carrier, common or otherwise, that dictates the ingredients of shipping documents; it is not the documentation that determines carrier status”).

c) Flexport Used, for All or Part of the Transportation of Peloton's Shipments, Vessels Operating on the High Seas Between Ports in the U.S. and Ports in Foreign Countries

FMC jurisdiction is triggered as long as a shipment is transported by vessel for any portion of its journey—as is the case for the shipments at issue here. 46 U.S.C. § 40102(7)(A)(i)-(iii). While not dispositive, the presence of ocean bills of lading generally confirms this jurisdictional threshold is satisfied. *See supra* n. 16-17,19. The statute does not require that the entire journey be by water—only that a vessel is used for at least part of the transportation. 46 U.S.C. § 40102(7)(A)(i)-(iii). The record here confirms that every rail movement managed by Flexport also included an ocean component. PFF ¶ 59; B-0800, Banaszak Dep. Tr. 46:17-25. Additionally, Flexport's port-to-door, door-to-door, and port-to-port quotes explicitly included an ocean leg, and, in those cases, Flexport arranged for the delivery of ocean carrier equipment directly to the customer's door. . B-0852-0853, Banaszak Dep. Tr. 98:21-99:6.

2. Flexport's Practices and Regulations Related to or Were Connected with Receiving, Handling, Storing, or Delivering Property

The Commission previously held that “[o]cean carrier D&D practices are subject to Section 41102(c) and Commission oversight, regardless of whether the practices relate to conduct at ports or inland.” *See* Interpretive Rule, 85 Fed. Reg. 29650. The practice and regulations in dispute here—*i.e.*, Flexport's practices, policies, and procedures (or lack thereof) related to D&D and its assessment of charges against Peloton—are directly related to the movement of cargo in ocean shipping, and the D&D charges at issue arise from Flexport's receiving, handling, storing and delivery of Peloton's cargo. *SM Line*, 2024 WL 1803511, at *14.

3. Flexport's Acts or Omissions Occurred on a Normal, Customary, and Continuous Basis

For a Shipping Act violation to be found to have occurred, an unreasonable practice or regulation “must be normal, customary, often repeated, systematic, uniform, habitual, and

continuous manner in which the regulated common carrier was conducting business.” Final Rule, Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478 (FMC Dec. 17, 2018) (discussing the interpretive rule provision promulgated at 46 C.F.R. 545.4(b)); *Intercoastal Investigation*, 1935, 1 U.S.S.B.B. 400, 432 (1935). Flexport’s “regulations and practices” (or lack thereof) at issue in this action satisfy the normal, customary, and continuous standard under Section 545.4(b). Between 2020 and 2022, 3,249 D&D charges totaling approximately \$33.7 million were assessed for 8,191 Peloton Shipments moving under Flexport store door terms, which were incurred due to Flexport’s practice of using its own tariff to charge D&D without evaluating, waiving, or attempting to mitigate the charges, as set forth below. PFF ¶¶ 6, 92, 111-114, 351.

4. Flexport’s D&D Charges Flagrantly Disregarded the Incentive Principle and Failed to Serve Their Essential Regulatory Purpose of Promoting Freight Fluidity

Despite controlling Peloton’s entire shipment process, Flexport failed to critically evaluate D&D charges, pursue waivers, or mitigate unreasonable accruals. Rather, Flexport initiated D&D charges based on its own tariff and then systematically charged Peloton millions in D&D without substantive review, even when delays were caused by factors beyond Peloton’s control such as port congestion, chassis shortages, trucker and port appointment unavailability, inland carrier delays, or Flexport’s own errors. . PFF ¶¶ 110-114, 116, 126, 103-104. To justify its actions, Flexport disregarded the Incentive Principle, treating it as a mere guideline that did not constrain its operations. PFF ¶¶ 82, 394; B-0170-0171, B-0179, Flexport’s 143(b)(6) Dep. Tr. 170:21-171:6 (Flexport’s Corporate Designee testified that Flexport did not have written D&D policies and procedures beyond its rules tariff and did not have written dispute resolution procedures until after the enactment of OSRA in June 2022: “Our policy on the assessment of demurrage is our rules tariff. That is our policy. The policy of which we play by is our rules tariffs and the FMC regulations. There is nothing needed more than that.”); B-0314-15, B-0429-0430, Tanner Dep. Tr.

45:25-46:2, 160:21-161:4 (“There was no requirement for a dispute process regulated by the FMC and no requirement for a tariff.”). This revenue-enhancement interpretation of the Incentive Principle led to an approach in assessing D&D that was contrary to regulatory standards, failed to promote freight fluidity, and caused Peloton significant harm.

The core inquiry under the Shipping Act in evaluating the reasonableness of D&D charges is whether they are reasonable in light of their intended purpose. *Kawasaki Kisen Kaisha, Ltd v. The Port Authority of New York and New Jersey*, Dkt. No. 11-12, 2014 WL 73284575, at *9 (FMC Nov. 20, 2014) (the FMC’s “test of reasonableness” is that “the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view”) (quoting *W. Gulf Mar. Ass’n v. Port of Hous. Auth.*, 21 F.M.C. 244, 248, 18 S.R.R. 783, 790 (FMC 1978), *aff’d without opinion sub nom. W. Gulf Mar. Ass’n. v. FMC*, 610 F.2d 1001 (D.C. Cir. 1979), cert. denied, 449 U.S. 822 (1980)); Interpretive Rule, 85 Fed. Reg. 29651. The Incentive Principle is the FMC’s formal standard for assessing whether D&D practices and charges meet this test of reasonableness.²² Under the Incentive Principle, the FMC assesses the reasonableness of a common carrier’s D&D practice by “consider[ing] the extent to which demurrage and detention [] serv[e] their intended primary purposes as financial incentives to promote freight fluidity.” 46 CFR § 545.5(c).

D&D charges cannot be mere arbitrary penalties or revenue generators. Rather, NVOCCs must narrowly assess D&D to promote freight fluidity and thereby incentivize efficient cargo

²² The FMC investigated D&D practices for over a decade, culminating in the issuance of the Interpretive Rule on Demurrage and Detention under the Shipping Act in May 2020. *See* Fact Finding No. 28, Order of Investigation (March 5, 2018); Fact Finding No. 29, Final Report at 45. The Interpretative Rule provides a framework to determine if a common carrier failed “to establish, observe, and enforce **just and reasonable regulations and practices**” related to the handling and delivery of cargo. 46 U.S.C. § 41102(c) (emphasis added); *see also* Interpretive Rule, 85 Fed. Reg. 29651; D-0020-0021, Roche Expert Report ¶¶ 48-49.

movement. *See SM Line*, 2025 WL 2231637, at *44 (“the record as a whole supports a finding that SM Line’s demurrage and detention policy did not incentivize the movement of cargo but rather was a tool to maximize profits, did not comply with the incentive principle set forth in 46 C.F.R. § 545.5, and constituted an unreasonable practice to the extent it assessed charges regardless of which party was at fault”); *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC — Possible Violations of § 46 U.S.C. 41102*, Dkt. No. 21-09, 4 F.M.C. 2d 53, 85, 2022 WL 1239377, , at *30 (FMC Apr. 22, 2022) (“*Hapag-Lloyd*”) (Chief Judge Wirth confirmed D&D is a financial incentive to promote freight fluidity and found that charging D&D when there were no return appointments available violated the Incentive Principle because “no amount of detention could have incentivized the return of the containers”); *TCW, Inc. v. Evergreen Shipping Agency (America) Corp. & Evergreen Line Joint Service Agreement*, Dkt. No. 1966(I), 3 F.M.C. 2d 1, 25, 2021 WL 794708, at *21 (SCO Feb. 19, 2021) (“*TCW*”) (citing to the Interpretive Rule for the proposition that the shipping community “should not be penalized by [D&D] practices when circumstances are such that they cannot retrieve equipment from or return equipment to marine terminals because under those circumstances the charges cannot serve their incentive function”).²³

Because Flexport incorrectly viewed the Incentive Principle as a mere guideline it could unilaterally disregard, Flexport charged Peloton for \$33.7 million in D&D during the Relevant Time Period without any consideration or analysis as to how those charges complied with the Shipping Act and promoted freight fluidity. This itself was an unreasonable practice and was the foundation for several other systematic practices that violated the Shipping Act and harmed Peloton, such as: (1) having no written D&D policies, procedures, or practices beyond its rules

²³ *See also* D-0020-0021, Roche Expert Report ¶¶ 48-50 (“Unless Peloton were the cause of cargo not being available for pick-up, or empty containers not returned within allotted free time, demurrage or detention charges should not have been assessed.”).

tariff (which was crafted to maximize revenue); (2) failing to supervise or properly train employees responsible for reviewing and invoicing D&D; (3) operating under a default assumption that Peloton was responsible for D&D at all times; (4) routinely charging D&D for circumstances entirely outside of Peloton's control, such as chassis shortages, port congestion, and inland carrier delays; and (5) originating D&D charges without transparency or an ability to provide justification or documentation for those charges. PFF ¶¶ 83-85, 88, 153, 112.

a) *Flexport Failed to Apply the Incentive Principle to Its NVOCC Operations*

Flexport touts itself as a “tech company” that endeavors to automate various aspects of the supply chain. *See* B-0161, Flexport 143(b)(6) Dep. Tr. 161:2-5 (“[W]e’re a freight forwarder, but we’re also a tech company. We like to tout ourselves as the first real freight forwarding company since the Internet.”).²⁴ Flexport Founder and CEO Ryan Petersen described the freight forwarding business as “an old school industry”²⁵ and differentiates Flexport from “traditional” freight forwarders because it is a technology platform.²⁶ Although Flexport sought to position itself as a

²⁴ *See also* deposition transcript of Jackie Nable, Peloton Global Key Account Manager, B-1283, Nable Dep. Tr. 32:22-23 (“Flexport is a freight forwarder, customs brokerage, and technology company.”); B-0163, Flexport 143(b)(6) Dep. Tr. 163:10-12 (“[w]e try to build as many guardrails to make it as easy – again, we’re a tech company.”); B-0295, Tanner Dep. Tr. 26:1-2 (“we are very unique as a freight forwarder and a tech company”); B-0340, Tanner Dep. Tr. 71:16-21 (“we are a tech company building our own platform”); B-0366, Tanner Dep. Tr. 97:20 (“[s]o we, as a tech company, have a lot of automation”); B-0407, Tanner Dep. Tr. 138:12-14 (“again, we try to automate as – absolutely as much as possible. That’s why we’re a tech company”).

²⁵ Flexport’s Ryan Petersen on returning as CEO, global logistics in a time of conflict & more | E1881, 00:36:01, <https://www.youtube.com/watch?v=8SRCW3ls69k&t=3097s>.

²⁶ *Id.* at 00:36:15-:27; “Flexport CEO on Tariff Drama, Supply Chain Conspiracies, and Hard-Earned CEO Wisdom,” 00:58:39, <https://www.youtube.com/watch?v=ab4xNHw-yGk> (“That’s kind of what’s unique about Flexport. We’re like tech plus human”) (Q: “Can you explain what Flexport does?” A: “Flexport is a technology platform for global logistics”); “Flexport’s Third Act: Winning in a Broken Global Trade System,” 00:07:58, <https://www.youtube.com/watch?v=p0m8IyT-xFU> (“Unlike a traditional forwarder, we’re doing all that coordination, not by email, we actually have built integrations and processes, technology to make that simple. So you get a single pane of glass, where’s my stuff, when is it gonna arrive, better estimates for your transit time, SKU level, inventory level visibility...”).

modern disruptor in the industry, Flexport chose to disregard the Incentive Principle as a fundamental obligation, mischaracterizing it as merely an optional “*guideline*.” As Flexport’s Corporate Representative and Senior Director of Compliance testified:

I’m glad you brought up the incentive principle because we, at Flexport, haven’t used the incentive principle as a defense. **We can talk to the incentive principle. It’s a guideline.** But the incentive principle is there for the FMC. They implemented the incentive principle so a detention and demurrage [charge] can be used to help ensure the free-flowing movement of freight. The FMC has the incentive principle so that carriers can utilize detention and demurrage to ensure that freight moves. So does the incentive principle come into play when we are determining whether to assess detention and demurrage? We follow every one of the FMC’s rules and regulations when it comes to the assessment of demurrage, and **if the incentive principle and the guidelines were to come into play, then, yes, we would look at that.**

B-0179, Flexport’s 143(b)(6) Dep. Tr. 179: 8-25 (emphasis added).

This interpretation of the Incentive Principle—as mere guidance that can be selectively applied or wholly ignored, and was not in “play” for Flexport’s operations—is simply wrong, and in direct conflict with the Commission’s own explanation of its rule:

A major misunderstanding surrounds the nature of the Demurrage and Detention Interpretive Rule. **The Interpretive Rule is not merely guidance.** We have issued several “guidance statements” as part of Fact Finding 29, and they are useful regulatory tools. **But the Interpretive Rule acts as the “interpretation” of D&D charges as potential “unreasonable practices” under section 41102(c) of Title 46, United States Code. The Interpretive Rule is the basis for FMC investigations of potential violations of section 41102(c) against ocean carriers for unreasonable practices regarding D&D.**

Fact Finding No. 29, Final Report, Pg. 46 (emphasis added).

Flexport’s failure to apply the Incentive Principle to its “automated” operations led to additional unreasonable practices. Indeed, both the public record and the record in this case plainly show that Flexport was focused on automation and profit maximization and not regulatory compliance, making it all but certain that Flexport could not and would not comply with its regulatory obligations, as was borne out in its interactions with Peloton.

b) Flexport Originated D&D Charges under Its Own Tariff to Maximize Additional Revenue

Flexport itself originated and imposed D&D charges under its own tariff and rates,²⁷ rather than passing through those of the underlying carriers. By making itself the originator of D&D charges, Flexport was subject to heightened obligations to (1) ensure the terms of its tariff were reasonable and (2) provide proof of the propriety of its charges. *See Sea-Land Serv., Inc. & Gulf Puerto Rico Lines, Inc.—Proposed Rules on Containers*, Dkt. No. 73-17, 21 F.M.C. 1, 3 (FMC June 14, 1978); *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, Dkt. No. 1947(I), 2016 WL 11942284, at *14 (FMC Oct. 7, 2016); *C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, Dkt. No. 936, 13 F.M.C. 76, 89 (FMC Jan. 9, 1969). Flexport routinely failed to meet these obligations and also failed to ensure that its D&D charges--as set by its own tariff--actually served as an incentive for freight movement as intended by the Incentive Principle.²⁸

Rather, Flexport structured its D&D tariffs to always match or exceed any charges Flexport itself may have incurred, thereby shielding it from financial liability for those D&D charges, regardless of the circumstances, and allowing it excessive revenues beyond anything tethered to actual container costs. *See* C-0136, Flexport Demurrage Tariff, Note 1 (“If demurrage charges invoiced by the underlying ocean carrier exceed charges provided herein, all additional charges incurred will be for the account of the cargo.”); C-0140, Flexport Detention Tariff, Note 2 (same). Flexport’s D&D tariff rates were also entirely disconnected from the actual costs charged by the carriers. E-0231, FLEXPORT 00005209 (“No matter the underlying carrier being used even if less

²⁷ *See* C-0139-0141, Tanner Dep. Ex. 10 (Flexport’s Detention Tariff); C-0136-0138, Tanner Dep. Ex. 9 (Flexport’s Demurrage Tariff); D-3707-3708, Kardian Dep. Tr. 263:15-264:3.

²⁸ Peloton’s expert summarized Flexport’s failure: “[a]s the originator of demurrage and detention invoices, Flexport owed Peloton an even heightened standard of care than NVOCCs who treat demurrage and detention invoices as pass-through charges at cost.” D-0023-0024, Roche Expert Report at ¶ 60. *See also* D-0022, Roche Expert Report at ¶ 53.

or more than what is agreed upon between Flexport, Flexport is to bill our agreed upon free time and tariff rates.”). Flexport also eliminated any risk from discrepancies in free time by defining the last free day as whichever date was used by the carrier or terminal billing Flexport—ensuring the shortest possible window for the shipper. D-1744-1745, McCown Expert Report ¶ 68. The combined effect of these terms was twofold: Flexport guaranteed itself profit from D&D and offloaded all financial exposure onto its shippers. PFF ¶¶ 95-96.

Flexport’s profit-driven approach directly conflicts with the Incentive Principle and places Flexport squarely in violation of the Shipping Act’s reasonableness requirement. *See TWC v. Evergreen Shipping Agency*, 2025 WL 516256, Dkt. No. 1966(I), at *6 (FMC 2025) (“As articulated in the final rule, these charges ‘may also lessen the incentive for ocean carriers and marine terminal operators to perform efficiently,’ ... Detention charges that place all financial risk on the shippers and their intermediaries during scheduled port closures do not encourage the carriers and marine terminal operators (“MTOs”) to be creative or innovative about how they could promote freight fluidity.”) (citations omitted).

When an NVOCC creates and enforces tariff rules that are unjust, unreasonable, or unfairly disadvantage shippers, the mere existence of that tariff does not make the terms therein inherently reasonable or in accordance with the Shipping Act. *See generally Sea-Land Serv., Inc.*, 21 F.M.C. at 3 (finding that it is not enough to merely comply with procedural rules regarding tariffs if those tariffs are “simultaneously [] unjust, unreasonable, and unduly and unreasonably prejudicial and disadvantageous”). The impact on shippers remains inherently unjustified. *Id.*

The record establishes that Flexport’s tariff rates were “unduly and unreasonably prejudicial and disadvantageous.” *Id.* The terms of Flexport’s tariff resulted in **19% to 29% mark-ups** that were higher than most vessel-operating carriers, untethered to any actual costs incurred,

and passed directly to Peloton. *See* B-0165, Flexport 143(b)(6) Dep. Tr. 165:6-18 (“It doesn’t matter what underlying carrier or port that Flexport uses ... That one set demurrage rule and tariff rate that is not impacted, regardless, regardless of what the underlying carrier is”); D-1742-1743, McCown Expert Report, ¶ 61 (Flexport’s tariff was between **19%-29% higher** than that of its partner vessel carrier ZIM); ¶ 64 (“Peloton’s actual experience with Flexport resulted in demurrage and detention invoices relative to revenue that were **17.7 times higher** than the overall industry experience); D-0022, Roche Expert Report ¶¶ 54–55. Flexport’s payment structure created a financial incentive to delay cargo movement, as it profited from daily markups of D&D while containers remained idle, thereby violating the Shipping Act’s requirements and the Incentive Principle.

c) Flexport Failed to Provide Supporting Evidence for Substantial D&D Charges Originated under Its Tariff

By originating substantial D&D charges under its tariff, Flexport also assumed a duty to provide its customers, including Peloton, supporting evidence of those charges that it failed to meet. *See generally* *TPG Pressure, Inc. v. Omni Logistics LLC and Epic Freight Solutions LLC*, Dkt. No. 22-31, 8 F.M.C. 2d 525, 566, 2024 WL 4226354, at *33 (ALJ Sept. 12, 2024) (discussing that even if an NVOCC is merely passing through charges, it “is unreasonable to provide no supporting documents or evidence about charges”); *see also* *C.H. Leavell & Co.*, at 89 (“the fact of substantial charges alone is sufficient to require the carrier to come forward with *some proof of their propriety*”) (emphasis added)).

Given the significant number and amount of the D&D charges at issue, Peloton engaged Greg Smith, a CPA with extensive expertise in damages assessment, to review the records and aid the Presiding Officer in making her findings. D-1430-31, Smith Expert Report, ¶¶ 3-4. Smith submitted two expert reports: an initial Expert Report on April 21, 2024 (“Smith Expert Report”),

and a “Supplemental Expert Report” on May 19, 2025 (“Smith Suppl. Expert Report”).²⁹ The un rebutted Smith Suppl. Expert Report establishes that Flexport has not produced data to explain the underlying delays for \$5.8 million in D&D charges. D-1659, Smith Suppl. Expert Report ¶7. The record further demonstrates that Flexport failed to provide any documentation or evidence establishing Peloton’s fault for \$26 million of the D&D charges assessed. . D-1659, Smith Suppl. Expert Report ¶ 7. Additionally, although Flexport claimed to track every milestone for shipments through its CORE platform,³⁰ it has not comprehensively produced this data for the thousands of shipments at issue.³¹ Rather, Flexport repeatedly and confusingly asked Peloton to produce data that Flexport itself was required to track and retain to properly assess D&D charges. For example, Flexport’s initial interrogatory requests included requests for *Peloton* to produce dates upon which Peloton advised Flexport containers were available to be returned and how many days the container was at Peloton’s facility.³² But *Flexport* was the primary custodian of this data, which

²⁹ Flexport’s initial CORE data production only included Peloton shipments from October 2021 onwards. Peloton raised this issue in its January 14, 2025 Motion to Compel but received no supplemental production. During a March 25, 2025 status conference, Peloton again highlighted the deficient production, which Flexport claimed was “inadvertent.” Flexport delayed producing the additional data for nearly two weeks. The CORE data was produced in a rolling manner: December 13, 2024 (94,198 lines), April 6, 2025 (179,765 lines), and April 25, 2025 (1,656 lines). Consequently, Flexport’s supplemental production occurred only *after* the conclusion of document production, fact depositions, and initial expert reports. *See* F-0143, Decl. of K. Little at 3.

³⁰ B-0406, Tanner Dep. Tr. 137:6-8 (“There are milestone and milestone alerts available to clients through the client app, which the clients sets up at the time of onboarding.”); B-0406-07, Tanner Dep. Tr. 137:21-138:3 (“But there’s like I said, 435 data elements that they’re able to run reports, set up alerts, and set up weekly, daily reporting if they want to. So we try to automate as much as possible. That’s part of our value-added service is the client portal, and that full 24/7 visibility. But they always have access to see when containers are available and what their status is.”).

³¹ *See infra*, Section VII.A.

³² Flexport First Set of Interrogatories to Peloton, Interrogatory 15 and 18. Peloton counsel assembled data to respond to these requests, as it is not a business record maintained by Peloton. Throughout the Relevant Time Period, Peloton reasonably relied on Flexport to maintain the information in accordance with its obligations under 46 C.F.R. § 515.33. *See* Peloton’s Third Supplemental Response to Flexport’s First Set of Interrogatories.

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was (or should have been) reported, managed, and retained within its systems. B-0284, Flexport 143(b)(6) Dep. Tr. 15:10-21; B-0458, Tanner Dep. Tr. 189:19-22. Flexport’s Senior Director of Compliance testified that Flexport tracked inland terminal arrival dates and pickup dates through “automation and integration,” B-0458, Tanner Dep. Tr. 189:19-22, and Flexport’s Standard Operating Procedures for its “Peloton Warehouse App” described how the app tracked and utilized container empty ready dates.³³ An excerpt from Flexport’s Warehouse App Standard Operating Procedures explaining the “Empty Ready Date Notification” is below:

Empty Ready Date Notification

For containers that are dropped at the warehouse, warehouse teams can now confirm the date and time when an empty container is ready to be picked up along with the dock door. This will be highlighted in the **Empty Ready** column. *Note that this filter will only show drayage service types.*

To add the Empty Ready column to the Warehouse App filters navigate to the + button to the right of **Next Action**:

Warehouse ID	Reference #	Last Tracking #	Pickup date	Pickup location	Delivery date	Empty ready date	Next Action
W001234567	123456789	10/15/2020	10/15/2020	TERMINAL ISLAND, CA	10/15/2020	10/15/2020	Confirm Empty Ready
W001234567	123456789	10/15/2020	10/15/2020	TERMINAL ISLAND, CA	10/15/2020	10/15/2020	Confirm Empty Ready
W001234567	123456789	10/15/2020	10/15/2020	TERMINAL ISLAND, CA	10/15/2020	10/15/2020	Confirm Empty Ready
W001234567	123456789	10/15/2020	10/15/2020	TERMINAL ISLAND, CA	10/15/2020	10/15/2020	Confirm Empty Ready
W001234567	123456789	10/15/2020	10/15/2020	TERMINAL ISLAND, CA	10/15/2020	10/15/2020	Confirm Empty Ready
W001234567	123456789	10/15/2020	10/15/2020	TERMINAL ISLAND, CA	10/15/2020	10/15/2020	Confirm Empty Ready
W001234567	123456789	10/15/2020	10/15/2020	TERMINAL ISLAND, CA	10/15/2020	10/15/2020	Confirm Empty Ready
W001234567	123456789	10/15/2020	10/15/2020	TERMINAL ISLAND, CA	10/15/2020	10/15/2020	Confirm Empty Ready
W001234567	123456789	10/15/2020	10/15/2020	TERMINAL ISLAND, CA	10/15/2020	10/15/2020	Confirm Empty Ready
W001234567	123456789	10/15/2020	10/15/2020	TERMINAL ISLAND, CA	10/15/2020	10/15/2020	Confirm Empty Ready

For drop containers, we recommend saving this as a filter so that this is always available to action.

This action will become available to **Update** once the delivery date has been **Confirmed**. Only the Warehouse and Flexport have the ability to **Confirm Empty Ready**. This field can be edited but not deleted.

Filter for **Next Action: Confirm Empty Ready** to indicate that the container is empty and available for the trucking carrier to pickup.

E-0250, PELOTON0032729 (emphasis added) (excerpt from the Flexport Warehouse APP

Standard Operating Procedures), *see also* E-0238-40, PELOTON0032729.

³³ Flexport directed Peloton’s warehouse teams to report the dates containers arrived at Peloton’s warehouses and the dates those containers were ready for pick-up in the Warehouse App. E-0257, PELOTON0003753 (“To allow the most up to date flow of data to Peloton and ensure all parties focus on the exceptions, we’re asking the Perris team to utilize the ‘**Confirm Arrival**’ tool within the app, in addition to the ‘**Confirm Empty**’ tool already being used.”); E-0255, PELOTON0003753 (“Can you please confirm that all that are empty in your yard are marked empty in the warehouse app? Our trucker is using this for planning the pickups and we want to ensure they have the container numbers on hand.”).

Flexport had to maintain this information to properly assess D&D, but has not produced any data from its Warehouse App to support any of its detention charges.³⁴ Flexport has failed to substantiate millions of dollars in D&D charges—charges it initiated under its own tariff, at rates significantly higher than underlying carrier costs and untethered from actual expenses—representing a clear and indefensible breach of the Shipping Act.

d) Peloton’s “Responsibility Always”: Flexport Automatically Charged Peloton for D&D in All Instances Without Reason, Transparency, or Verification

Flexport adopted a narrow (and incorrect) interpretation of FMC regulations—namely, that its sole responsibility was to follow its tariff³⁵ in all circumstances—and wholly ignored the regulations governing an NVOCC’s responsibilities.³⁶ This practice systematically shifted responsibility to Peloton for all D&D in every circumstance. Nick Peckham, a former Flexport associate responsible for reviewing and charging Peloton millions of dollars in D&D during the Relevant Time Period, testified about Flexport’s inflexible approach to D&D:

Q: Did you ever discuss detention and demurrage charges with Reid Breck³⁷ that were not the fault of Peloton?

A: How do you determine fault? I don’t know.

Q: Did you have procedures on how to determine whose fault it was for detention and demurrage charges?

A: I don’t necessarily think detention and demurrage is who is at fault.

Q: So how would you determine if Peloton was responsible for detention and demurrage charges?

A: ***I mean, the assumption is it is their responsibility always.***

³⁴ Peloton no longer has access to the Warehouse App to independently access this data. Peloton requested access through Flexport’s counsel but access was **not provided**. PFF ¶ 442.

³⁵ Peloton does not possess the underlying documentation from third-party service providers related to the shipments and, as a result, cannot verify—nor does it concede—that Flexport’s application of its tariff was accurate. PFF ¶¶ 383-440.

³⁶ Flexport’s rules tariff was not only unreasonable—it was also its **sole** written policy, procedure, or practice concerning D&D charges, and Flexport mechanically charged Peloton thereunder, regardless of and without consideration of fault. B-0170-0171, Flexport 143(b)(6) Dep. Tr. 170:21-172:18; B-0377, Tanner Dep. Tr. 108:9-15; PFF ¶¶ 108-115, 394.

³⁷ Breck was a Flexport Global Key Account Manager and Peckham’s supervisor during the Relevant Time Period. *See* B-0666-06667, Peckham Dep. Tr. 168:23-169:4.

B-0667-0668, Peckham Dep. Tr. 169:25-170:16.

Flexport’s Corporate Designee Tanner also asserted that Flexport considered itself to have met its FMC obligations so long as it was charging D&D based upon its tariff— regardless of the reasons behind the D&D charges or who was at fault. B-0175-0176, Flexport 143(b)(6) Dep. Tr. 175:2-176:24. Tanner went on to explain that Flexport’s *sole* policy regarding D&D was its tariff, because Flexport viewed the mere existence of the tariff, and its strict and inflexible application in charging D&D, as satisfying its regulatory responsibilities. PFF ¶¶ 108-115; PFF ¶ 394, B-0170-71, Flexport 143(b)(6) Dep. Tr. 170:21-172:18; B-0377, Tanner Dep. Tr. 108:9-15. As discussed previously, under the Incentive Principle, a carrier’s D&D practices must be “tailored to meet [their] intended purpose” and “fit and appropriate to the end in view” by promoting freight fluidity and incentivizing cargo movement. *See Distrib. Servs. Ltd. v. Trans-Pac. Freight Conference of Japan & its Member Lines*, Dkt. No. 86-12, 1988 WL 340659, at *7 (FMC Jan. 6, 1988); *Investigation of Free Time Practices-Port of San Diego*, Dkt. No. 1217, 9 F.M.C. 525, 547 (FMC May 24, 1966); Fact Finding No. 29, Final Report at 45; 46 C.F.R. § 545.5(c); 46 U.S.C. § 41102(c). Here, however, the evidence clearly establishes that Flexport in no way tailored its D&D charges to comply with these principles. PFF ¶¶ 82-115. Rather, Flexport held itself out as an NVOCC, and accepted Peloton’s shipments as its NVOCC operating under store door terms, and indiscriminately charged Peloton millions of dollars of D&D based on an automatic, unsupervised, and unreviewed “calculation” using a “formula”³⁸ within Flexport’s CORE system. PFF ¶¶ 22-61; PFF ¶¶ 110-111.

³⁸ B-0632, Peckham Dep. Tr. 134:12-20.

Flexport consistently imposed substantial D&D charges on Peloton, all while disregarding responsibility, context, or fault. PFF ¶¶ 82-88. As the Presiding Officer recently found, this practice of invoicing D&D charges based upon a service contract and tariff, regardless of fault, is an unreasonable practice at odds with the Incentive Principle. *See SM Line*, 2025 WL 2231637, at *45 (“the record shows that SM Line automatically charged SEA for [D&D] on all store door moves in accordance with its applicable service contract and tariff. To the extent that charges were assessed regardless of which party was at fault... SM Line engaged in an unreasonable practice”). Here, as in *SM Line*, Flexport engaged in unreasonable practice by assessing D&D charges against Peloton using a pre-determined and inflexible formula, without regard to cause or fault.

(1) Automatic Charges: Flexport Charged Peloton D&D for All Store Door Shipments Based upon Its Own Rules Tariff and a Calculation of Days

Flexport’s standard practice was to assess D&D in all circumstances by simply calculating the number of days a container was past free time and applying Flexport’s D&D tariff rates. . PFF ¶¶ 110, 113-114, 126, 250, 256. Flexport automatically calculated D&D within its CORE system, populated those charges on Peloton invoices, and passed those charges to Peloton with significant markup but without any meaningful review or oversight to determine if the charges complied with the Incentive Principle or who was at fault. PFF ¶¶ 93-97, 110, 113-114, 126, 250, 256. Flexport’s use of CORE to prepare and invoice its customers for all charges, including D&D, may have automated the process, but it also speaks to the lack of thought or effort Flexport invested in ensuring that its D&D charges were appropriate and incentivized cargo fluidity. PFF ¶¶ 110, 113-114, 126, 250-251, 256. As described by Flexport employees, multiple “tabs” existed within CORE, two of which were the “operations tab” and “invoices tab.” .” PFF ¶¶ 253-254; B-0626, Peckham Dep. Tr. 128:17-21. CORE pulled shipping information from the operations tab to auto-populate fields in the invoices tab. Flexport employees then accessed this information via a “charge

queue” that automatically generated an invoice for their review, approval, and transmission to Peloton.

Deposition testimony established that this system automatically calculated D&D based upon the days past free time and Flexport’s tariff, and its employees’ “review” prior to invoicing Peloton, was largely limited to verifying dates and correcting data entry errors. *See* PFF ¶ 86; B-0632, Peckham Dep. Tr. 134:2-9 (“[A] common practice would be to make sure that the data within Core [sic] is accurate. So there might be a date that’s wrong or something like that if you see a charge that doesn’t look right.”).³⁹ No independent judgment was applied to consider the proper assessment of D&D charges. PFF ¶¶ 93-97, 110, 113-114, 126, 250, 256. As Flexport’s Corporate Designee Tanner explained:

[T]he free time allowance is pulled from the quote, the NSA or the NRA, based on our rules tariff So the way charge management works is based on the date of discharge, the last free day, the date of outgate and demurrage, or the date of outgate, the date of empty return for detention. The system will automatically calculate based on the number of days the container was either at the port or out of the port, and then it will filter that from the charge queue to the invoice. The operations associate or manager – I’m not sure who was issuing that particular invoice—would then review the invoice for accuracy.

B-0362-63, Tanner Dep. Tr. 93:10-94:6. Tanner confirmed several times that in assessing D&D, Flexport considered only (1) the NRAs, (2) the NSAs, (3) the free days, and (4) the charge amount per day based upon its rules tariff and did not consider any other factors. PFF ¶ 111; B-0377-78, B-0389, B-0390, Tanner Dep. Tr. 108:21-109:8; 120:14-17; 121:6-15.

³⁹ *See also* B-0649, Peckham Dep. Tr. 151:4-15 (“Well, it’s based on data. So if—if we exceed the free time then the detention or demurrage day ends, once it ends—if it’s demurrage, if it’s one day outside of the free time and it’s picked up, then demurrage is calculated for one day. The same on the other end. If free time ends and the empty container is returned one day after detention, it’s just one day of detention. ***So it’s really just based on the data. It’s not like a determination.***”) (emphasis added).

Tanner’s testimony explaining how Flexport automatically assessed D&D based upon an automated formula is consistent with the testimony of Flexport former Client Solutions Associate Nick Peckham, whose work responsibilities included charging Peloton for D&D:

If it’s a non-contracted rate or non-agreed rate, it’s really simple. If a quote was provided, you invoice according to what the quote was, meaning click “share invoice” button within Flexport’s system. If it is a contracted rate, meaning at some point Flexport and Peloton had agreed upon what the price per container was going to be ... it is really just looking at the rate sheet, entering the charges into the system and clicking “share.”

B-0565-66, Peckham Dep. Tr. 67:23-68:14. *See also* B-0630, Peckham Dep. Tr. 132:21-24 (“it is just a simple formula that populates or that calculates charges based upon Flexport’s tariff”); B-0632, 134:12-13 (“it’s a formula for detention and demurrage”).

Flexport applied this rote methodology to Peloton shipments throughout the Relevant Time Period without wavering or adjusting to any circumstances—through the COVID-19 pandemic, chassis shortages, truckers shortages, port congestion and delays, and Flexport’s own errors in tracking and managing shipments. *See* PFF ¶¶ 98-107, 111, 113-114; B-0386-91, Tanner Dep. Tr. 117:22-122:11 (testifying that Flexport continued to only consider their rules tariff, the NRA/NSA’s, free day, and charge per day through pandemic-related shipping challenges experienced in 2020-2022); B-0388, *id.* at 119:3-8 (“Detention and demurrage charges would have been assessed based on our rules tariff, NSA, or contracts in line with the FMC regulations and Incentive Rule. *So it wouldn’t have mattered if there was a pandemic or otherwise.* The regulations are set in stone. That’s what they are.”).

Flexport originated \$33.7 million in D&D for more than 7,000 Peloton container shipments while ignoring any outside circumstances impacting those charges. PFF ¶¶ 9, 340, 357, 359-382. Flexport’s tariff was designed to ensure that Flexport always profited. Automatically invoicing D&D based upon the tariff, without further analysis of who was at fault, ensured that Flexport

profited from D&D *on every shipment*, and profited even more when those shipments were delayed. PFF ¶¶ 86-88, 91-97. While such a practice may have been convenient and profitable for Flexport, it is wholly violative of the most basic understanding of an NVOCC's obligations to uphold the Incentive Principle and ensure that D&D charges promote freight fluidity.⁴⁰ PFF ¶¶ 62-71.

(2) Lack of Oversight: Flexport's Employees Who "Reviewed" D&D Charges Prior to Invoicing Were Untrained, Unsupervised, and Uninformed

Consistent with this rote approach, Flexport failed to adequately equip its Client Solutions Associates—the employees solely responsible for reviewing and invoicing D&D charges—with any tools to recognize potential issues with D&D and thus perform a meaningful analysis. PFF ¶¶ 83-88, 115, 398. The Client Solutions Associates were entry-level employees who received limited or no training on the legal or regulatory basis of D&D charges. *See* B-0805-0806, Banaszak Dep. Tr. 51:16-52:1; B-0515, Peckham Dep. Tr. 17:9-20:5 (Peckham started at Flexport as a data operations associate approximately one year after graduating from college); B-0519-21, 21:9-23:12; B-0715, 217:2-217:14 (Peckham could not recall any specific training he had received regarding FMC compliance and stated he had never been introduced to the Incentive Principle or the Interpretative Rule while employed by Flexport).

The only employee training materials produced in discovery by Flexport were four partial videos, each approximately one minute long, on the general topics of Demurrage, Detention,

⁴⁰ *See SM Line*, at 52 (“That SM Line maximized the collection of demurrage and detention in order to maximize profits is also evidenced by the fact that it invoiced charges based on its service contract and tariff regardless of whether SEA was at fault This practice is at odds with the incentive principle.”).

Empty Returns and Proofs of Delivery, and Arrival/Delivery Review.⁴¹ These videos do not discuss the Incentive Principle, nor even generally how an employee may assess the reasonableness of a D&D charge prior to invoicing. PFF ¶ 84; E-0034;E-0261-63. Rather, the detention training video supports the conclusion that Flexport viewed D&D charges as simple calculations that were always invoiced to the shipper without further analysis: “We should try to avoid detention as much as possible, as the daily charges will grow to become costly *and the client will need to pay*.”⁴²

Among Flexport’s witnesses who were directly responsible for assessing and charging D&D, *none* testified that they had any familiarity with the Incentive Principle or Interpretative Rule. *See* B-0779,B-0781, Banaszak Dep. Tr. 25:22-24; 27:11-14 (testifying that he never received any training from Flexport on the Incentive Principle, despite managing the operations team that handled invoices for D&D charges); B-0715, Peckham Dep. Tr. 217:2-14; B-1330; Nable Dep. Tr. 79:4-5.⁴³ This lack of knowledge is prima facie evidence that Flexport did not train its employees responsible for assessing and charging D&D on their obligation to comply with the Incentive Principle, nor was it a component of Flexport’s D&D policies. *See SM Line*, at 52 (SM Line employees testified at deposition that they were not familiar with the Incentive Principle, “which suggests that it was not a focus of SM Lines demurrage and detention policy despite the enactment of OSRA in 2022”). PFF ¶¶ 82-88.

⁴¹ PFF ¶ 84. Tanner testified that Flexport Academy touched on “U.S. compliance, trade compliance, [and] our FMC compliance” and that it was a prerecorded training housed on an online system called 360 Learning. B-0294-95, Tanner Dep. Tr. 25:20-26:25. However, despite a May 15, 2025 order directing Flexport to produce “any policies, procedures, or training programs related to demurrage and detention in effect from May 2021 through December 2022,” the *only* training videos Flexport produced were these four partial videos with a total run-time of 5 minutes and 2 seconds. *See* A-0123, Dkt. 62, May 15, 2025 Order on Pending Motions; E-0034; E-0261-0263.

⁴² E-0261 (emphasis added).

⁴³ This contradicts Tanner’s testimony, who claimed employees received training on these matters upon hiring as well as additional training following the 2022 enactment of OSRA. B-0295, B-0298, Tanner Dep. Tr. 26:3-21; 29:3-5.

Importantly, during the Relevant Time Period, the “Client Solutions Associates” responsible for invoicing Peloton were not responsible for handling and managing the shipments. PFF ¶¶ 115. Instead, “Operations Associates” handled shipments, while Client Solutions Associates were responsible for communicating with the client and reviewing invoices. PFF ¶¶ 115, 413. Therefore, the only way for a Client Solutions Associate to understand the underlying circumstances of a shipment that may have led to excessive D&D charges was to review internal notes within CORE or emails with carriers.⁴⁴ It was entirely incumbent upon the Client Solutions Associate to recognize that an automatically populated D&D charge was potentially improper and then review all documentation for that shipment to determine if the charge should be adjusted—but Flexport has produced no evidence that this ever took place, and the extremely limited communications with its contracted carriers that Flexport produced do not show any effort by Client Solutions Associates to investigate the circumstances of any shipments.⁴⁵

As there was no oversight in calculating D&D charges once the tariff was published, there was also no oversight of the Client Solutions Associates charged with proactively conducting this review without any written guidelines or policies. Peckham testified that the process was as simple as an associate pulling up the automatically populated invoice in the charge queue and pressing

⁴⁴ PFF ¶¶ 413-414. Peckham testified that because the Operations Team split from the Customer Solutions Team, the Operations Team had to tell the client solutions team about any delays so that the Client Solutions Team could inform the Customer. *See* B-0573, Peckham Dep. Tr. 75:12-18. He also testified that he could search his email by FLEX-ID to see all communications related to a shipment. B-0663-64, Peckham Dep. Tr. 165:21-166:9. However, despite contracting with three primary ocean carriers and 36 trucking companies to move Peloton Shipments during the Relevant Time Period, Flexport produced scant email communications with third parties related to more than 7,000 shipments at issue, **including only 11 emails from the ocean carriers** and 1,447 emails with inland truckers, most of which relate only to scheduling and provide little to no information for the basis of Flexport’s D&D charges. PFF ¶¶ 402-405. It is impossible to have only 11 emails on over 2000 D&D charges shipments. The only inference to be drawn is Flexport intentionally did not produce large swaths of relevant emails.

⁴⁵ *See supra* n. 44.

“share,” with no higher level review. *See* B-0565-66, B-0703-07, Peckham Dep. Tr. 67:23-68:4, 11-14; 205:5-209:7. Jackie Nable, one of Peckham’s supervisors and a Flexport Global Key Account Manager from 2020-2023, stated that her team would verify that invoices were accurate, but she could not recall how her team verified for accuracy, what “accurate” meant or the factors they considered, or how they would escalate issues to her. B-1346-47, B-1353, Nable Dep. Tr. 95:16-96:1; 102:18-23. Tanner testified that the only FMC audits or inspections conducted by the compliance team were to verify that Flexport’s charge queue accurately represented the charges in the associated NRA, and that he could not remember any escalations related to D&D being raised to the compliance team prior to 2023. B-0316, B-0334-35, Tanner Dep. Tr. 47:11-21; 65:23-66:3.⁴⁶

All of these practices are unreasonable and indicative of Flexport’s marketing approach—that it was not an “old guard” freight company but a new type of “tech” company offering efficient solutions⁴⁷—and not attentive to NVOCC regulations, especially those concerning D&D. *See See* B-0163, Flexport 143(b)(6) Dep. Tr. 163:10-13 (“We try to build as many guardrails to make it as easy—again, we’re a tech company. Our goal is to make freight easier for everyone. That’s kind of our motto. So that’s why we build these systems around this”). The insufficiency of these practices is further supported by the simple fact that there is no evidence of even a single instance in which a Flexport “review” of a D&D charge resulted in a reduction. The reason for this is simple: it did not adequately review any D&D charges, because its policy was to charge D&D based upon

⁴⁶ Flexport’s witnesses tried to rehabilitate the above statements against interest by also asserting that the Flexport associates would review communications between Flexport and its subcontractors prior to invoicing D&D. This review, however, was not a meaningful assessment of the reasonableness of charges based upon underlying circumstances, but rather merely checking dates to verify the accuracy of Flexport’s tariff rates and dates input in the system. Flexport “had no meaningful procedure to assess whether it or Peloton was responsible for the demurrage and detention charges, and Flexport did not do such assessment.” D-1748, McCown ¶ 87; *see also* B-0787, Banaszak Dep. Tr. 33:6–20 (“Q: Okay. So it is data error issues? A: Most likely, yes”).

⁴⁷ *See supra*, pg. 25-26, n. 24-26.

its tariff alone. The system was automated, the Interpretive Rule and Incentive Principle were ignored, and Flexport wrongfully generated massive additional D&D charges revenue at Peloton's expense.

(3) *No Analysis of Fault: Flexport Charged Peloton for All Calculated D&D Without Justification and Regardless of Fault*

Pursuant to these practices, Flexport charged Peloton for D&D without consideration as to whether Peloton, Flexport, or another party was at fault. Flexport focused on confirming the number of days containers stayed in yards beyond free time and failed to assess the underlying causes, responsibility, or reasonableness of the charges. PFF ¶¶ 108-115; B-0782, Banaszak Dep. Tr. 28:8-14. This resulted in, for example, Flexport relying on the carrier's last free day to justify its demurrage charge when the actual reasons for late pickup from marine terminals were Flexport's equipment shortages, trucker shortages, transportation delays, and port congestion. D-1748, McCown, ¶ 87; PFF ¶ 96. The Presiding Officer previously found that assessing D&D charges in this manner is an unreasonable practice. *See SM Line*, 2025 WL 2231637, at *45 ("To the extent that charges were assessed regardless of which party was at fault, the undersigned finds that SM Line engaged in an unreasonable practice"). In *Hapag-Lloyd*, Chief Judge Wirth determined that a policy that required the payment of detention when it was impossible for truckers to return containers because there were no return appointments violated the Incentive Principle because "no amount of detention could have incentivized the return of the containers." 2022 WL 1239377, at *30; *see also TCW*, 2021 WL 794708, at *5 (citing to the Interpretive Rule for the proposition that the shipping community "should not be penalized by [D&D] practices when circumstances are such that they cannot retrieve equipment from or return equipment to marine terminals because under those circumstances the charges cannot serve their incentive function"). As in *Hapag-Lloyd* and *SM Line*, Flexport's practice of charging Peloton D&D when those charges

could in no way effectuate the movement of cargo (because Peloton had hired Flexport to move the cargo) directly violates the Incentive Principle and is an unreasonable practice.

Flexport's unreasonable approach is most clearly illustrated through a shipment-by-shipment analysis of the relevant shipments (as listed in Exhibit A to Peloton's Amended Complaint) using data recorded and maintained by Flexport. PFF ¶¶ 340-358. This analysis, contained in Exhibit 3 of the Smith Suppl. Expert Report, correlates all shipment event information produced by Flexport (collectively, the "Shipment Files") and demonstrates that Flexport: (1) charged Peloton automatically, regardless of the reason for delay; (2) **charged Peloton for \$31.9 million in D&D where Flexport's own data indicates that Peloton was in no way at fault--or Flexport failed to record any data indicating responsibility**; and (3) provided no transparency to Peloton as to the underlying reasons for the charges. PFF ¶¶ 359-382.

Flexport's Shipment Files contain information maintained by Flexport in CORE to monitor and manage Peloton shipments. *See* B-0624-27, Peckham Dep. Tr. 126:2-129:10. The Shipment Files cover the time period from April 2021 to October 2022⁴⁸ and contain messages about events affecting the handling and timing of containers and shipments, such as notes when a shipment could not be picked up on the original date due to lack of available chassis to transport the containers, or no available appointments for truckers to pick up or return containers. . PFF ¶¶ 55-56, 133, 246-263. This data is automatically or manually entered into the system, which is the same system used to produce and share invoices with customers, as discussed above. According to Flexport, the Shipment Files are pulled from CORE and include *all* information about shipments, including the "physical, actual movement of containers ... from pick up to

⁴⁸ Flexport only produced Shipment Files for this time period, rather than the entirety of the Relevant Time Period.

communication with vendors, trucking partners, [and] ocean carriers,” B-0624, Peckham Dep. Tr. 126:2-128:21, and is the entirety of the data produced by Flexport from its CORE system. *See See* PFF ¶¶ 55-56, 133, 246-263.; A-0142, Dkt. 71, Respondent’s Response to Peloton’s Status Report.

The Presiding Officer has previously held that the reasonableness of D&D charges “turns on the specific facts and circumstances of each shipment at issue.” *SM Line*, 2025 WL 2231637, at *42. D-1670-1726, Exhibit 3 of the Smith Suppl. Expert Report demonstrates that Flexport systematically charged Peloton D&D in thousands of circumstances in which delays were caused by lack of chassis, inland carrier delays, port congestion, and/or lack of appointments for truckers at the port. None of these issues were attributable to Peloton (D-0015-19, Roche Expert Report ¶¶ 21-40), yet they led to ***\$26 million of the D&D charges at issue***. PFF ¶ 222. Additionally, \$5.8 million in D&D charged to Peloton resulted from shipments for which Flexport recorded no data as to the reason for the delay. PFF ¶ 222; D-1670-1726, Exhibit 3 of the Smith Suppl. Expert Report is therefore un rebutted proof that these D&D charges were not caused by Peloton, but were rather caused either by circumstances beyond Peloton’s control (in the case of port congestion and lack of appointments), by Flexport (in the case of chassis unavailability and inland carrier delays), or without justification or explanation (in the cases where Flexport recorded no data). ***All*** of these circumstances were Flexport’s responsibility, not Peloton’s—and ***all*** of these charges violated the Incentive Principle. PFF ¶¶ 335, 359-382.

While Exhibit 3 of the Smith Suppl. Expert Report provides a full picture of how Flexport systematically charged Peloton for D&D regardless of fault, this point is further illustrated by representative case studies of key shipments at issue (the “Shipment Case Studies”). PFF ¶¶ 154-188. These Case Studies establish that Flexport continuously charged Peloton for the full amount

of D&D where Flexport recorded numerous delays that were not caused by Peloton but rather were caused by or the responsibility of Flexport.⁴⁹

For example, Case Study 2 shows that Flexport charged Peloton \$59,760 in detention and \$2,490 in demurrage for a shipment in which a container was left at the yard of JC Transport, a Flexport subcontractor, from June 2021 to November 2021. PFF ¶¶ 161-166. For this shipment, JC Transport told Flexport that they couldn't pull the containers due to chassis shortages. Case Study 3 demonstrates that Flexport charged Peloton \$11,585 in demurrage and \$12,590 in detention for a shipment that was delayed due to 98 error codes for chassis shortages, 32 error codes for port congestion, and delays because Flexport's contracted truckers were unavailable to pick up the containers from Peloton's warehouses once they were empty. PFF ¶¶ 167-174. In each of the studies, there is no evidence that Peloton was able to take any action to remedy the situation. Rather, the studies demonstrate that it was Flexport's action (or inaction) that frequently caused significant delay.⁵⁰

⁴⁹ Flexport produced only limited documentation for most of the relevant shipments. D-1670-1726, Exhibit 3 of the Smith Suppl. Expert Report captures all of the data provided in the Shipment Files Flexport produced.. PFF ¶¶ 335, 359-382. The Shipment Case Studies were built off of shipments for which Flexport produced underlying documentation and communications that gave greater insight into the charged D&D. Among its severe discovery deficiencies, Flexport failed to produce such documentation and communications for the majority of the shipments at issue. . PFF ¶¶ 402-406.

⁵⁰ The Case Studies include everything Peloton can find in the parties' productions for the given FLEX-ID. PFF ¶¶ 154-188. Flexport has asserted that it produced all communications and other documents regarding free time and D&D. *See* A-0142, Dkt. 71, Respondent's Response to Peloton's Status Report at 7, 11 ("this must be stressed—ALL of these communications are reflected in the emails and spreadsheets produced by Flexport in this litigation" and "[t]he undersigned again certifies that ALL documents in compliance with the ALJ's Order have been produced. Period"). The ALJ's May 15, 2025 Order stated that, "the records, including bills of lading, invoices, and the communications between Flexport and the contractors, marine terminals, and ocean carriers, as well as the internal communications regarding Peloton's containers or shipments, are relevant to Peloton's claims and are compelled. To the extent that they have not been provided, Flexport is ORDERED to produce any remaining records." A-0123, Dkt. 62, Served Order on Pending Motions, at 3.

PUBLIC VERSION

(a) D&D for Chassis Shortages: Flexport Systematically Charged Peloton for D&D Caused by Low Chassis Availability, Which Was the Responsibility of Flexport

As shown in Exhibit 3 of the Smith Suppl. Expert Report, Flexport continually charged Peloton for D&D when delays were caused by unavailability of chassis. D-1670-1726. The Presiding Officer recently held that the imposition of demurrage against a shipper by an NVOCC when chassis are unavailable is an unreasonable practice that violates the Incentive Principle. *See SM Line*, 2025 WL 2231637, at *47 (“The imposition of demurrage against SEA when chassis were not available would not incentivize the movement of cargo”). Just as in *SM Line*, Flexport was responsible for providing chassis to Peloton in both store door and CY moves. PFF ¶¶ 118; D-2483. Therefore, the imposition of D&D against Peloton when chassis were not available did not incentivize the movement of cargo, and Flexport’s practice of charging Peloton D&D due to chassis shortage was unreasonable. PFF ¶¶ 116-144.

It cannot be disputed that Flexport maintained control over sourcing chassis and was responsible for ensuring that chassis were available for Peloton’s shipments. D-0013, D-0015, Roche ¶¶ 14-15, 23-27; D-1745-46, McCown ¶¶ 71-74; PFF ¶¶ 29-32, 116-144. Flexport’s procurement teams handled chassis procurement and managed the relationships with the ocean carriers and truckers who owned chassis. *See* B-0829-30, Banaszak Dep. Tr. 75:12-76:2. This is further demonstrated by an email from Breck of Flexport to John Antista of Peloton in which Breck explains that some ocean carriers bill Flexport directly for chassis, while others bill the truckers. E-0035, FLEXPORT 00000737. Flexport’s Corporate Designee also testified that Flexport, not Peloton, contracted with the master carriers who owned the chassis and would work with them to source chassis or extend free days due to chassis shortages. B-0188-90, Flexport 143(b)(6) Dep. Tr. 188:25-189:5; 190:2-3. No carriers billed or coordinated with Peloton directly to source

chassis—Flexport did so. Both Peloton and Flexport expected that Flexport, acting as Peloton’s NVOCC, had the ability and responsibility to source chassis. *See* Flexport 143(b)(6) 191:14-24.

Nonetheless, in the Relevant Time Period, there were thousands of instances in which Flexport could not timely source chassis for Peloton shipments, causing significant delay in the pick-up or return of containers to and from the port. *See* Exhibit 3 of the Smith Suppl. Expert Report; Peloton 143(b)(6) 209:15-19 (“Often time, the response was that there was some sort of chassis—lack of available chassis, a shortage of chassis, a shortage of truck drivers, or overall delays and inability to pick up containers at the port because of lack of appointment availability”); Flexport 143(b)(6) (“yes, there were plenty of times when a container was sitting at the terminal waiting for chassis so they can be placed”); Banaszak Dep. Tr. 71:17-72:3; 74:11-17 (“There were chassis issues and equipment issues everywhere” that led to containers sitting in port for extended periods of time); Tanner 120:20-121:2 (“In the Port of Long Beach alone, it’s well known that during 2021, that chassis were being held out of port 114 percent longer than they were pre-pandemic. That’s 2.14 times the amount of time a chassis was being held by both shipper and consignees”); B-0446, Tanner Dep. Tr. 177:19-23 (Q: “[F]rom early 2020 to 2023, were shipments delayed due to needing to wait for chassis to become available?” A: “Significantly, yes”). Exhibit 3 of the Smith Suppl. Expert Report captures 4,562 instances of unavailable chassis from Flexport’s Shipment Files alone for which Peloton was charged D&D. PFF ¶ 131.

Despite these well-known delays, Flexport continued to mark up and charge D&D using its tariff. *See* B-0447, Tanner Dep. Tr. 178: 15-20 (Q: “Did Flexport change any of the detention and demurrage fees for shipments delayed due to the chassis shortage during this time period?” A: “So, as a standard, we would not have changed our fees for containers that were impacted. Our tariff would have been the applicable rate.”); B-0192-0193, Flexport 143(b)(6) Dep. Tr. 192:9-

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193:5; PFF ¶¶ 93, 113. Case Study 1 provides a prime example of this: Flexport charged Peloton \$163,719 in demurrage, \$55,140 in detention, and [REDACTED] in yard storage for a shipment, even though the entire delay was attributable to Flexport's truckers being unable to pick up the containers from the container yard due to a lack of chassis. PFF ¶¶ 154-160. Flexport charging Peloton for D&D for chassis shortages on this and thousands of other shipments was an unreasonable practice.

(b) D&D for Port Congestion: Flexport Systematically Charged Peloton for D&D Caused by Port Congestion, Which Was Wholly the Responsibility of Flexport

Exhibit 3 of the Smith Suppl. Expert Report also demonstrates that Flexport continuously charged Peloton for D&D in thousands of shipments where the delay was primarily or entirely caused by port congestion.⁵¹ D-1670-1726, Smith Suppl. Expert Report, Ex. 3; PFF ¶¶ 366, 370-371. The Presiding Officer also recently found this practice to be unreasonable:

[P]ort congestion is a circumstance beyond the control of the shipper for which the assessment of demurrage and detention is inappropriate. This finding is also consistent with the Incentive Principle because the assessment of charges due to port congestion would not incentivize the movement of cargo since there is nothing the shipper can do to remedy the situation.

SM Line, 2025 WL 2231637, at *47.

As in *SM Line*, port congestion caused by the COVID-19 pandemic was a factor entirely beyond Peloton's control for which the imposition of charges was not reasonable. *Id.* As demonstrated by Flexport's "Port Congestion Tactical Action" Plan, Flexport clearly understood that it was responsible for navigating port congestion to remove Peloton's containers. *See* E-0022, FLEXPOR 00007747. Flexport's "Plan" proposed actions for Flexport to take to address port

⁵¹ Port congestion relates to delays caused by congestion at and near the ports. This includes situations in which containers are in an inaccessible part of the terminal, such as a "closed area." D-2463-2484, Roche Rebuttal Expert Report at ¶¶ 47, 50, 53.

congestion during the Relevant Time Period, such as “continu[ing] to meet with each terminal and create relationships,” booking with ocean carriers going to less congested ports, writing “bots” to detect empty returns slots and book appointments and partnering with the Port of Long Beach. *Id.*

Just as with D&D caused by chassis shortages, however, Flexport continued to charge Peloton D&D for delays caused by these issues—which issues included, but were not limited to, no appointments for truckers to pick up or drop off containers,⁵² inaccessible containers due to port closures, storage in “closed” areas, or general congestion. B-1138-1139, Breck Dep. Tr. 159:4-160:1; PFF ¶¶ 113, 151-188, 222, 372-373. Despite Flexport’s knowledge of these issues and their effect on ballooning D&D charges, Flexport did not change how it assessed D&D. PFF ¶ 113. Rather, Flexport calculated container availability solely based on the date of vessel discharge, without considering whether the container was actually accessible for retrieval. PFF ¶ 114. There is no evidence that Flexport *ever* unilaterally reduced or waived D&D charges based upon port congestion, notwithstanding the fact that Flexport had the ability to do so because *they were Flexport’s charges*, not the charges of the underlying carrier.

This practice was exacerbated by the fact that Flexport did not even extend free time, which was also based on its own tariff. B-0086, Flexport 143(b)(6) Dep. Tr. 86:18-25. The record establishes that Flexport charged Peloton based on *Flexport’s* free time, even when Flexport’s underlying carrier granted an extension. To highlight one representative example, in July 2021, JC Transport—Flexport’s designated trucker for retrieving containers ZCSU8783052 and

⁵² This refers to situations in which the terminal did not have appointments available either to pick up a container for delivery or to return an empty container. Roche Rebuttal ¶ 48. Smith identified 238 distinct instances purely related to lack of appointments—i.e., instances where Flexport charged Peloton D&D while simultaneously recording in its Shipment Files that the container was delayed due to lack of appointments to pick up or return the containers. D-1670-1726, Smith Supp. Expert Report, Ex. 3.

ZCSU7213374—alerted the terminal to pick-up issues and requested an extension of the last free day (LFD). C-0101, Flexport 143(b)(6) Dep. Ex. 7 at 5. ZIM, the underlying ocean carrier, granted the extension in coordination with the terminal. C-0097-98, Flexport 143(b)(6) Dep. Ex. 7 at 1-2. However, **Flexport failed to pass this extension on to Peloton** and instead imposed demurrage charges totaling \$10,880 for both containers. E-0001, Aggregate Shipment Details; B-0216-0217, Flexport 143(b)(6) Dep. Tr. 216:18-217:18. Notably, the extension granted by ZIM was neither reflected in the documentation provided to Peloton nor visible on the Flexport platform, leaving Peloton unaware of the additional free time and exposed to improperly assessed charges. E-0001, Aggregate Shipment Details; B-0223-0224, Flexport 143(b)(6) Dep. Tr. 223:10-227:21. These charges were assessed despite conflicting internal records regarding actual pick-up and delivery dates, and without regard to whether Peloton or its agents were at fault. E-0001, Aggregate Shipment Details; B-0223-0224, Flexport 143(b)(6) Dep. Tr. 223:10-227:21.

(c) D&D for Inland Carrier Delays: Flexport Systematically Charged Peloton for D&D Caused by Inland Carrier Delays, Which Were the Responsibility of Flexport

Exhibit 3 of the Smith Suppl. Expert Report also demonstrates that Flexport charged Peloton D&D continuously for delays caused by Flexport's inland carrier providers. Inland carrier delays include trucking delays, rail transfer delays, missed scheduled pickups, and vehicle breakdowns. *See* D-1663, Smith Suppl. Expert Report ¶ 14. Exhibit 3 of the Smith Suppl. Expert Report contains 5,596 incidents of inland carrier delays attributable to Flexport for which Peloton was charged D&D. D-1670-1726, Smith Suppl. Expert Report, Ex. 3. Shipment Case Study 5 provides an example of how, in one such shipment, inland transportation delays caused entirely by Flexport and its subcontracted truckers led to Peloton being charged \$3,845 in detention and \$2,115 in demurrage for a single container shipment. PFF ¶¶ 182-188.

As discussed above, Flexport was responsible for both the inland transportation of Peloton's cargo and for the actions of its subcontractors. *See also* D-0015, Roche Expert Report ¶¶ 21, 22, 37. Flexport hired trucking companies to provide drayage services to pick up a container from the destination terminal, deliver the cargo, and return the empty container. *Id.* Therefore, inland carrier delays due to issues with the movement of containers via truck or rail fall squarely within Flexport's responsibility. PFF ¶ 374; D-2483-2484, Roche Rebuttal Expert Report ¶ 50.

The record shows numerous inland transportation delays directly attributable to Flexport and/or its subcontractors. For example, Banaszak Dep. Exhibit 7 is an email chain in which Peloton notified Flexport of 14 empty containers sitting at its warehouse, waiting to be picked up. C-0226-C-0230, Banaszak Dep. Ex. 7. Banaszak testified that such a backlog could actually be caused by Peloton emptying containers *too fast*, because Flexport was executing a one-to-one match for pick-up/drop-off. B-0933, Banaszak 179:14-22. But it was not Peloton's responsibility to match Flexport's preferred timeline. Peloton contracted with Flexport to provide inland drayage services; Flexport contracted and communicated with the truckers; and Peloton paid Flexport for those services. PFF ¶ 42, 46-47, 52, 300. The Incentive Principle cannot be used to penalize Peloton for moving cargo too quickly when Flexport was unable to perform its contractual services to remove and return the containers. Yet, in this example, that is exactly what happened. As it did for all shipments, Flexport charged Peloton detention, based on its rules tariff, for Flexport's own inability to remove and return the containers. Once again, this is the opposite of the Incentive Principle in play: Flexport's practices disincentivized Peloton from quickly unloading containers so they could be returned prior to the expiration of free time.⁵³ Flexport's conduct constituted a clear violation

⁵³ Another example is when Flexport's subcontractor and preferred trucker, JC Transport, lost two containers in their yard for months and Peloton was charged the entirety of the detention for that

of the Shipping Act, as it repeatedly imposed D&D charges on Peloton for delays that were entirely attributable to Flexport's own operational failures and logistical mismanagement—delays over which Peloton had absolutely no control.

(4) Obscure Charges: Flexport Provided No Transparency at the Time D&D Was Charged, and Such Failure Continued Throughout This Litigation

Exhibit 3 of the Smith Suppl. Expert Report further reveals that Flexport consistently failed to record detailed information about the causes behind delays that resulted in D&D and storage charges. This analysis shows \$5.8 million in D&D charges for which Flexport recorded no supporting information whatsoever—meaning that despite Flexport's claims that its proprietary platform could track all aspects of a shipment, its tracking system could not provide any reason for \$5.8 million in charges.⁵⁴ PFF ¶ 222. In fact, because Flexport had no policy for assessing and reviewing D&D charges beyond what was contained in its tariff or providing its customer with a mechanism to dispute D&D charges (PFF ¶¶ 110-114),⁵⁵ Flexport personnel entered shipment information related to D&D into its systems on an ad hoc basis. As a result, the shipment records are incomplete and inconsistent, explaining why supporting information is missing from many entries. This absence of standardized procedures led to gaps in the Shipment Files and a lack of

time period. *See* Nable Dep, Ex. 4. *See* C-0392-0393, Nable Dep. Ex. 4; E-0022, Aggregate Shipment Details.

⁵⁴ FLEXPOR 00007747 actually shows that Flexport considered implementing "reason codes" for all excessive dwell containers, but that this idea was considered to have "low ROI" and abandoned because current CORE practices were considered sufficient. E-0022, FLEXPOR 00007747.

⁵⁵ FLEXPOR 00007747 links to several potentially relevant Google documents, including "Port Congestion: Invoicing SOPs – D&D Dispute Process" and "Summary of D&D and Trucking Invoicing Resolutions." E-0022, FLEXPOR 00007747. However, none of these documents were produced by Flexport. Moreover, Ryan Tanner did testify that Flexport had "numerous knowledge-based pages related to detention and demurrage ... there was directive, guidance, and information available to all employees," but these also have not been produced by Flexport. B-0331-0332, Tanner Dep. Tr. 62:23-63:3.

clear explanations for delays when D&D charges were assessed. D-1662-1663, Smith Suppl. Expert Report ¶ 12 (“Flexport did not systematically capture information related to the shipments related to the reasons for the delays that led to the demurrage, detention, and storage charges.”).

Carriers, including NVOCCs, “should provide sufficient information with their invoices to understand charges.” *Samsung Electronics America, Inc., v. Zim Integrated Shipping Services Ltd.* Dkt. No. 22-30, 2025 WL 1255544, at *58 (ALJ April 22, 2025). Not only did Flexport fail to do this, it could not (and to this day, cannot) provide *any* supporting information for the charges for which there is no information in the system. This failure to provide transparency or underlying support for millions in D&D charges is yet another unreasonable practice. This practice is further aggravated given Flexport’s additional regulatory responsibilities as the originator of the charges.⁵⁶ If Flexport takes it upon itself to charge D&D, then it must have evidence that those fees are justified due to Peloton’s, and not Flexport’s, own actions. B-0026, Roche Expert Report ¶ 69. It has none.

e) Despite Well-Known Pandemic Challenges and Ballooning D&D, Flexport Continued in its Unlawful Practices and Pursued Bookings At All Costs

During the Relevant Time Period, Flexport continued to assess D&D against Peloton using its rules tariff in the same rote manner without regard to any of the widely reported pandemic-related supply chain issues.⁵⁷ B-0388, Tanner Dep. Tr. 119:3-5. As Tanner bluntly stated, “[I]t

⁵⁶ Given that Flexport originated the charges, Flexport should not have charged Peloton unless Flexport had evidence that Peloton was responsible for delays, or at a minimum, that Flexport had evidence that neither Flexport nor its subcontractors were the cause. It did not do that. Roche Expert Report ¶ 68.

⁵⁷ “There were up to sometimes 60-plus vessels awaiting berthing at ports on the East and West Coast. There were container shortages. There were chassis shortage. There were limited dock hours, limited trucks, limited drivers, limited warehousemen or warehouse people. So all through the industry, there were dozens of issues that were brought on by the pandemic that each and every person in the industry bore.” B-0387, Tanner Dep. Tr. 118:6-14.

wouldn't have mattered if there was a pandemic or otherwise." B-0388, Tanner Dep. Tr. 119:6-7. Flexport continued its same practice, despite the challenges posed by the pandemic, of simply charging D&D based on its rules tariff and using *no other factors* to assess whether the charges were appropriate. B-0387-0391, Tanner Dep. Tr. 118:25-122:11.

Because Flexport failed to address supply chain disruptions and continued to accept Peloton shipments for store door services, Flexport contributed to the delays in the movement of Peloton's cargo. For example, because of the increased demand for products, chassis shortage issues intensified, which resulted in significant delays. Peloton trusted Flexport to move its cargo, and Flexport accepted that responsibility. In fact, despite widespread congestion and known logistical bottlenecks during the relevant period, Flexport continued to accept Peloton's bookings without limitation.⁵⁸ Although Peloton's booking volume exceeded agreed-upon thresholds, Flexport never enforced those limits. Instead, it "continually" sought additional capacity for Peloton, even while other NVOCCs and carriers were rejecting bookings—and even while Flexport itself was rejecting shipments from other customers. B-0875-0876, B-0940-0941, Banaszak Dep. Tr. 121:14–122:9, 186:6–187:1. Yet Flexport's approach to supply chain issues was the same for every shipment: the situation was out of Flexport's control and therefore, it believed it was not responsible for the resulting charges.

While Flexport was responsible for the store door transportation of Peloton's cargo, to include chassis shortages and port congestion caused by the pandemic, Flexport was *not* willing to consider anything that would affect its bottom line—namely, reducing the number of bookings accepted from Peloton and other clients to ensure they could competently perform the duties

⁵⁸ E-0022, FLEXPOR 00007747 ("we have no marketplace inventory so trans loads are sold without taking into account limited capacity. Demand runs wild with this").

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required of them as an NVOCC. Flexport 00007747, an internal spreadsheet tracking bottleneck issues during the Pandemic, indicates that each weekday, a Flexport cross-functional team was meeting to discuss specific bottleneck categories: Monday – Trucking; Tuesday – Ocean carriers; Wednesday – Terminal; Thursday – Warehouse/Transloads, Client; and Friday – Yard Space/Chassis. E-0022, FLEXPOR 00007747. This demonstrates that Flexport knew there were significant issues to moving freight through the supply chain, and that Flexport, as a carrier providing store door services, had the responsibility to address those issues. This document also establishes, however, that Flexport was making decisions on how to move freight through the supply chain based upon what preserved the majority of its bookings—not what was best for Peloton, minimized D&D charges, or promoted freight fluidity. For example, on line item #16, under the Bottleneck Category “Ocean Carrier,” the action for the cross-function team was to “clear prioritization of carrier containers pickup based on total volume cut *and booking stop impact/risk...*” *Id.* (emphasis added). Therefore, one of the two named factors that Flexport considered when deciding which containers to prioritize picking up was whether Flexport was at risk of losing that customer’s bookings. Another example, shown in the except from this spreadsheet below, under Bottleneck Category “Trucking” the “idea/action” in column two eliminated any consideration of reducing booking acceptances by including “[o]ur alternative of Carrier cuts and *booking acceptance stops is not an option*”:

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#	Bottleneck Category	Idea / Action	Priority (1-3) 1 =	Date Added	Single Threaded Owner	Team Members	Status	Next Steps	Next Update Expected Week
1	Trucking	Short-term incentive/offer to Roadex, Knight, JCT, Nolan and ITS to prioritize our long dwell pickups over competition. It has to be so attractive they can't resist. Our alternative of Carrier cuts and booking acceptance stops is not an option.	1	11/16/21	Jason Parker	Matt Koivisto	"Steady" State-Ongoing	Michael Johnson to put together the forward looking discharged and available containers, as well as the actuals within today 12/20. -Existing tables from LA/LB Port Congestion Surcharge Looker and [WIP] Allocation Dashboard -Ratio of actual vs scheduled pickups to understand missed appts due to chassis, etc. to understand expected net capacity -Historical dip in volume/capacity we've seen during holidays compared to Nov or early Dec numbers.	12/23

E-0022, FLEXPOR 00007747.

What Flexport was *not* considering was maximizing freight fluidity or minimizing D&D charges. Flexport's customers, including Peloton—and not Flexport—bore all the cost and risk associated with delays, allowing Flexport to profit from its D&D charges. In other words, Flexport was moving cargo based on its own bottom line, not what was needed to minimize the impact of the pandemic on freight fluidity.

In the end, Flexport's strategy was clear: to maximize its own booking volume while shifting the burden of additional costs squarely onto Peloton. Confronted with ongoing operational setbacks and persistent failures in Flexport's transportation management, Peloton ultimately found it necessary to bring in a third-party logistics provider to oversee the inland movement of its shipments and address the escalating disruptions. This context is underscored by the testimony of Peloton's Corporate Designee:

As we list in the complaint there are a variety of reasons why we considered Flexport doing a bad job. They were not securing appointments to pick up containers and move them out of the terminal thereby incurring demurrage when they passed the free time allotment. They were having issues sourcing chassis and truck drivers to pull our containers from the terminals. They were also having issues in terms of moving our empty containers back to the terminal to terminate them before the free time allotment which resulted in detention charges against us.

B-1630-1631, Peloton 143(b)(6) Dep. Tr. 143:19-144:5

Over time, Peloton strategically shifted its logistics away from Flexport, ultimately terminating Flexport's services around mid-2022. B-1627, Peloton 143(b)(6) Dep. Tr. 140:5-25. During the Relevant Time Period, Peloton consistently worked with other NVOCCs, alongside Flexport. B-1636-1640, Peloton 143(b)(6) Dep. Tr. 149:20-153:4 (discussing that volume of shipments managed by other NVOCCs was comparable to that handled by Flexport). These NVOCCs capably managed shipment volumes similar to Flexport's, yet imposed only minimal D&D charges in comparison. B-1637, Peloton 143(b)(6) Dep. Tr. 150:17-22 ("The key difference is that they [the NVOCCs] worked continuously with our teams in order to keep them updated on chassis shortages and made other efforts in creatively pulling containers so that we avoided demurrage spend Flexport did not do the same in all instances."). Notably, Peloton continues to partner with these NVOCCs today, further highlighting that it was entirely feasible to move Peloton's cargo efficiently. This disparity underscores that the excessive charges imposed by Flexport were not industry standard, but rather the result of Flexport's own operational and billing practices, reinforcing the need for accountability.

Flexport's pattern of behavior is especially indefensible given Flexport's direct control over its own tariff and the clear opportunity to mitigate or eliminate excessive D&D charges. Instead of adjusting its rates or implementing relief for its customers, Flexport consistently prioritized its own financial interests at the expense of fair and reasonable practices. This sustained disregard for transparency, accountability, and the Incentive Principle not only undermined Peloton's operations, but also flouted the foundational responsibilities of a carrier under the Shipping Act.

f) Flexport's Actions and Inactions Significantly Increased D&D Charges Assessed to Peloton

The combined effect of Flexport's tariff and D&D practices is that they did not promote freight fluidity. *See* D-1734-1735, McCown Expert Report, ¶ 29. ("[B]y relieving the party that is

responsible for moving the cargo (Flexport) from having to pay any charges, the demurrage and detention charges cannot incentivize Flexport to move the cargo. As summarized by Peloton’s expert, “[p]erversely, Flexport’s policies economically disincentivized the movement of cargo by increasing Flexport’s revenue when cargo was *not* timely moved.”). This effect is best illustrated by Flexport’s actions (and inactions) that significantly delayed shipments and led to exorbitant D&D charges. For example, as an NVOCC handling store door shipments, Flexport had the necessary operational tools at its disposal to mitigate the effects of the COVID-19 pandemic—including contracting with truckers, utilizing staging yards, and leveraging relationships with its subcontractors like JC Transport, which had a proven track record of resolving logistical challenges to evaluate the reasonableness of its D&D charges. *See* B-0839, B-0927, B-0941, Banaszak Dep. Tr. 85:9-16; 173:16-21; 187:17-188:8. None of these tools were available to Peloton, who relied upon Flexport to handle its shipments under store door terms. Yet despite the operational tools available exclusively to it, Flexport made choices that prioritized its bottom line, rather than cargo fluidity. For example, Flexport chose to not concentrate Peloton shipments with certain carriers, which aggravated existing delays. D-1741, McCown Expert Report, ¶ 57-59 (“Flexport utilized at least 14 different VOCCs to move the Peloton loads, i.e. a lack of carrier concentration resulting in inefficiency and unnecessary demurrage and detention charges for Peloton...[t]he lack of carrier concentration was a choice made by Flexport without input from Peloton in at least two ways involving increased costs and slower service”). Flexport also failed to adequately manage its truckers to ensure timely pickup of empties sitting in Peloton yards or secure empty return appointments with the terminals. B-1717, Peloton 143(b)(6) Dep. Tr. 230:19-24 (“Flexport failed to pick up empties that were sitting in our yards, to return them to the terminals

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within free day time. They also failed to secure empty return appointments with the terminals and failed to work with the terminals in order to secure appointments when there were none.”)

These problems were exacerbated by known issues with Flexport’s proprietary tracking systems. Both CORE and Flexport’s Warehouse App frequently displayed inaccurate or outdated information, which caused confusion, delayed Peloton’s ability to retrieve shipments in a timely manner, and hindered Peloton’s ability to contest improper charges. B-1693-1694, Peloton 143(b)(6) Dep. Tr. 206:6–207:2. For example, Column E and L in the excerpt below from an internal Flexport spreadsheet reveals that a significant “bug” in the Flexport App had gone unaddressed for two months, causing considerable operational disruptions:

	A	C	D	E	F	I	J	K	L
	Theme	Priority	T-Shirt	Item	Owner(s)	Status	Next Steps	Target Start	Notes
1 23	Warehouse operations	1 - High		Fix warehousing app. There are 5 product issues: 1. Bug leading to milestone reversal 2. No scanning 3. No inventory 4. Container visibility not working for ocean 5. No customs status (leading to checking in in NetCHB). Prio to fix 1, 4, and 5	Matt S.	In Progress	with partnership with These are all knowns. Sanne to follow up with Matt, Pushkar and Subham		Bug (1) is apparently 2mo old and not being addressed, and leading to a lot of work because now they also type every milestone in the notes

E-0022, FLEXPORT 00007747. This oversight resulted in several product issues—including reversed milestones, missed scans, gaps in inventory tracking, and failures in container visibility for ocean shipments—ultimately leading to a great deal of extra work for the teams involved. *Id.* Flexport CEO Ryan Petersen also recently admitted to known issues in Flexport’s estimated delivery dates that caused customer delays going back years.

One of the main pieces of negative feedback we’ve gotten over the last year has been that—and really probably going back much further than that—is that ***our estimated delivery dates are not trustworthy and that that causes problems.*** You can imagine why, you all know why, running a warehouse or running a business you need to know when of these goods are showing up so you can sell them, so that your team is ready to inbound them.

“The Future of Logistics 2025 Winter Product Release,” 00:18:03, <https://www.youtube.com/watch?v=r6sRzuDH8N8> (last visited August 4, 2025) (emphasis added).

Flexport’s strategy disincentivized it to act in the best interests of Peloton and freight fluidity. These practices stand in direct opposition to the Incentive Principle and, as a result, constitute a violation of the Shipping Act.

5. Flexport’s Practice or Regulation is the Proximate Cause of the Loss

As set forth above, during the Relevant Time Period, Flexport assessed \$33.7 million in D&D charges against Peloton on 3,249 store door moves of Peloton cargo. PFF ¶ 9. Flexport, as the carrier, was responsible for both ocean and inland transportation, and should have only assessed D&D charges in instances where Peloton was the direct and proximate cause of the delay. *See* 46 C.F.R. § 545.4(e) (to prove an unjust and unreasonable shipping practice under Section 41102(c), complainant must prove that the practice or regulation was the proximate cause of the claimed loss). Under 46 U.S.C. § 41305(b), a complainant is entitled to reparations for “actual injury caused by a violation of this part.” 46 U.S.C. § 41305(b). To meet this burden, “a party must show that it is entitled to a specific reparation, i.e., that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, Dkt. No. 96-05, 2001 WL 865708, at *80 n. 75 (FMC June 1, 2001); *see also William R. Adair v. Penn-Nordic Lines, Inc.*, Dkt. No. 1695(F), 1991 WL 383091, at *23 (ALJ Sept. 24, 1991) (“proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages.”). The FMC has held that payment of D&D charges is sufficient to prove actual injury. *See Hapag-Lloyd, A.G.*, 2022 WL 1239377, at *34; *A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc.*, 1987(I), 2023 WL 5375592, at *14 (SCO July 17, 2023) (claimant “demonstrates that it incurred damages in the

amount of \$20,970 (FF 36), the amount it seeks as reparations, because of the double payments it was forced to make to obtain its shipments due to Respondents' conduct").

Flexport's D&D policies and practices (and lack thereof) were the clear proximate cause of Peloton's loss. As the carrier responsible for both ocean and inland transportation of Peloton's cargo, Flexport should have limited D&D charges to situations where delays were directly and proximately caused by Peloton. Instead, due to Flexport's unjust and unreasonable practices, Peloton was charged—and paid—33.7 million for D&D. PFF ¶ 477. On this basis, Peloton has satisfied all five elements required under Section 41102(c), warranting a finding of liability against Flexport. Peloton's direct damages are described in further detail in Section VI below.

B. FLEXPORT ISSUED INVOICES ON AND AFTER JUNE 16, 2022 (OSRA EFFECTIVE DATE) WITHOUT REQUIRED INFORMATION AND/OR OTHERWISE FAILED TO COMPLY WITH THE REQUIREMENTS FOR D&D INVOICES IN 46 U.S.C. § 41104(D) (COUNT II)

In addition to the violations of the Shipping Act described above, Flexport's issuance of invoices after June 16, 2022, also failed to comply with the specific requirements set forth by OSRA. Under OSRA, ocean carriers are required to comply with demurrage or detention billing practices, promulgated under 46 U.S.C. § 41104(a)(15)(A)-(M).

Flexport's invoices failed to include the specific information required by OSRA, thereby violating its provisions. In particular, Flexport did not provide the start and end date of free time for each container, the container availability date, or the specific date(s) for which detention and demurrage were charged. Although an email address was included for disputes, Flexport did not have any meaningful dispute resolution process, as parties do not receive individualized responses to disputes arising from these invoices. *See supra*, V. A.4; PFF ¶¶ 132-134, 264-271.

Since July 2022, Flexport issued thirteen (13) invoices to Peloton, totaling \$83,390 in charges. In light of Flexport's repeated violations and the substantial, well-supported evidence of

injury, Peloton is entitled to full relief and reparations for the damages wrongfully sustained in the amount of \$83,390 on this independent ground, in addition to other relief sought.

C. FLEXPORT ASSESSED CHARGES ON AND AFTER JUNE 16, 2022 (OSRA EFFECTIVE DATE) THAT WERE INCONSISTENT OR DID NOT COMPLY WITH ALL APPLICABLE PROVISIONS AND REGULATIONS, INCLUDING 46 U.S.C. § 41102(C), 46 CFR § 545. 46, AND 46 U.S.C. § 41104(A)(14) (COUNT III)

Section 41104(a)(14) of the Shipping Act provides that an ocean carrier, “either alone or in conjunction with any other person, directly or indirectly, shall not assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of Section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations).” 46 U.S.C. § 41104(a)(14). In addition to the violations of Section 41102(c) set forth above, Flexport’s policy and practice of assessing D&D charges for store door moves also violated Section 41104(a)(14) because Flexport was responsible for inland transportation charges, including D&D charges.⁵⁹ Yet, as noted above, the evidence reflects that Flexport assessed D&D charges against Peloton regardless of fault, and Flexport cannot certify that its performance “did not cause or contribute to the underlying invoiced charges.” 46 U.S.C. § 41104(d)(2)(M). Thus, these repeated failures not only demonstrate a pattern of non-compliance but also constitute a clear violation of OSRA and its requirements.

VI. PELOTON IS ENTITLED TO FULL REPARATIONS AS A RESULT OF FLEXPORT’S SHIPPING ACT VIOLATIONS

Peloton is entitled to full reparations totaling \$33.7 million in D&D and related charges, as well as attorneys’ fees and costs incurred during this proceeding, pursuant to 46 U.S.C. § 41305. As set forth above, Flexport violated Section 41102(c) of the Shipping Act by engaging in multiple systematic practices that were fundamentally unjust and unreasonable during the Relevant Time

⁵⁹ Except in limited circumstances where Peloton was directly responsible for the charges, e.g., Peloton could not receive a container otherwise ready for delivery.

Period. According to the mandate in 46 U.S.C. § 41305(b), when a violation causes actual harm, the FMC is required to award full reparations to the injured party. Here, the evidence leaves no doubt: Flexport’s unlawful practices resulted in Peloton being wrongly billed and forced to pay \$33.7 million in **D&D** and related charges—a figure that Flexport *failed to rebut with expert evidence*, entitling Peloton to full reparations.

A. COMPREHENSIVE EXPERT ANALYSIS CONFIRMS PELOTON’S ENTITLEMENT TO FULL REPARATIONS

Peloton’s damages expert, Greg Smith, quantified the actual damages incurred by Peloton related to Flexport’s movements of containers for which Peloton was the consignee during the period from 2020 through 2022. After reviewing the record evidence, Smith concluded that Peloton incurred direct damages in the amount of at least \$33.7 million. D-1439, Smith Expert Report, ¶ 34. These damages can be broken down into three categories: Demurrage (\$13.8 million); Equipment Detention (\$16.2 million); and Yard and Warehouse Storage (\$3.7 million). D-1442, Smith Expert Report, ¶ 34.

To verify Peloton’s damages figures, Smith conducted a thorough forensic investigation.⁶⁰ D-1438, Smith Expert Report, ¶ 23. He examined how Peloton’s data was stored and collected, interviewed Peloton personnel, reviewed all relevant documentation, and tested the documentary evidence to ensure it supported the damages claims. D-1438, Smith Expert Report, ¶¶ 23-35. The data utilized to calculate Peloton’s damages and as shown in Exhibit 3 of the Smith Suppl. Expert

⁶⁰ As a damages expert, Smith conducted his analysis on the assumption that Peloton has proven Flexport’s liability and that his assignment was to calculate the resulting damages. PFF ¶; D-1432, Smith Expert Report, ¶ 8 (“As is customary in evaluating damages in commercial disputes, I have assumed that Flexport is liable to Peloton for the violations alleged in the Amended Complaint and that Peloton is entitled to recover damages (reparations) from Flexport.”). D-1438, Smith Expert Report, ¶ 8; see *MAVL Capital, Inc. v. Marine Transp. Logistics, Inc.*, Dkt. No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022) (“[t]he method chosen depends on the evidence available and which calculation more accurately measures the actual loss”).

Report, was extracted from Peloton’s Coupa system and Flexport’s “Peloton Aggregate Shipment Details” Spreadsheet (“Flexport Charge File”). D-1438, Smith Expert Report, ¶¶ 23-27. Coupa is a spend management platform that Peloton used, among other things, to track invoices and payments of D&D charges. PFF ¶ 224. The Coupa file includes the following fields: Invoice #; Supplier; Created Date; Total (amount); Status; Delivery Method; Paid (true or false). PFF ¶ 225.

Following Flexport’s submission of the third set of Shipment Files, Smith also undertook a comprehensive review of the shipment records found in Flexport’s CORE platform.⁶¹ Throughout this proceeding, Flexport consistently asserted that all relevant details regarding Peloton’s shipments and associated D&D charges resided within the CORE platform. PFF ¶ 221. Accordingly, Smith analyzed the available data in the Shipment Files to trace and substantiate the foundation of the contested D&D charges. A breakdown of these charges shows:

- **\$26 million** stemmed solely from Flexport’s actions, with no evidence of fault on Peloton’s part;
- **\$5.8 million** in charges lacked sufficient information to determine whether Peloton was responsible for the delays;⁶²
- **\$1.7 million** reflected shared responsibility between Flexport and Peloton; and
- **\$134,520** was attributable exclusively to Peloton.⁶³

The calculation and allocation of Peloton’s reparations were determined through a thorough analysis of Flexport’s own CORE platform. Smith conducted dual comprehensive searches: one to

⁶¹ As discussed above, Flexport provided the Shipments Files on a rolling basis in three installments, with the third installment not being produced until April 25, 2025—**after the close of fact discovery and conclusion of all fact witness depositions.**

⁶² Approximately \$1.8 million of the D&D charges without any information was issued by Flexport on or after May 2021.

⁶³ This allocation is detailed in the Smith Suppl. Expert Report (D-1665, ¶¶17-19), Shipment Files, and Aggregate Shipment Details.

pinpoint shipments where Peloton may have contributed in some measure to delays (search terms are listed in Supplemental Exhibit 1), and another to identify shipments where Flexport's actions or failures were directly responsible (search terms are listed in Supplemental Exhibit 2).

When evaluating shipments with any potential Peloton responsibility, Smith examined entries for indicators of capacity constraints at Peloton facilities, requests from Peloton to delay delivery, or situations where containers were not yet emptied and thus not available for prompt return to the port. For Flexport's responsibility, Smith classified these instances into four categories—each representing a direct failure or omission by Flexport:

- **No Chassis Provided:** Delays caused by Flexport's inability to provide the required chassis, a fundamental responsibility that falls squarely within Flexport's domain.
- **Inland Carrier Delays:** Holdups attributed to Flexport's contracted carriers failing to move containers efficiently by truck or rail, further underscoring Flexport's operational lapses.
- **Port and Terminal Congestion:** Delays stemming from unmanageable congestion or containers being placed in "closed areas"—circumstances entirely beyond Peloton's control and wholly outside its ability to influence.
- **No Appointments Available:** Situations where there were limited or no appointments to pick up or return containers to the port, which were within the responsibility of Flexport and outside of Peloton's control.

Building on his examination of the Shipment Files, Smith prepared Supplemental Exhibit 3 to catalogue every Flexport shipment from Exhibit 1 of the Smith Expert Report and specifying the number of shipment events by search category or keyword drawn from the Portal Events Files. Smith's analysis of Flexport's own data leaves no doubt: the majority of delays and resulting

charges can be traced to consistent operational shortcomings and oversights by Flexport and its agents. For instance, FLEX-ID 11101395 reveals that Flexport imposed \$35,515 in D&D fees, despite no indication of any Peloton-related issue. The shipment records instead logged 58 instances of “No Chassis,” 15 of “Inland Carrier Delay,” four of “Congestion,” and one of “No Appointments”—all clear markers of Flexport’s direct responsibility.⁶⁴ This evidence, based on Flexport’s own documentation, not only substantiates Peloton’s claims, but also highlights Flexport’s primary role in incurring these costs.

Flexport has failed to offer additional context or rationale to justify its D&D charges and has fully failed to rebut Smith’s analysis. Flexport’s sole expert report, prepared by Gary Kardian (the “Kardian Report”) only addresses liability and conspicuously omits any analysis of damages. What analysis the Kardian Report does contain is neither credible nor probative. *See U.S. v. Smith*, 964 F. Supp. 2d 167, 173 (D. Mass, 2013) (the court, as the fact finder, must decide how much of the expert’s testimony to believe and how much weight it should be given). Several factors indicate that, in this case, the Kardian Report should not be given any weight by the Presiding Officer. Notably, the report provides a stream of consciousness running commentary as to the allegations in Peloton’s *original* Complaint rather than the operative Verified Amended Complaint, rendering much of its analysis irrelevant.⁶⁵ The report also fails to comply with the Federal Maritime Commission’s procedural requirements under 46 CFR § 502.141. For example, the report fails to

⁶⁴ The Smith Suppl. Expert Report clearly demonstrates that Flexport was predominantly responsible for the delays. For example, as shown in Suppl. Ex. 3, FLEX-ID 1193905 (Transaction #1039) incurred \$118,765 in D&D charges with 14 Inland Carrier Delay entries and 4 Congestion entries, while FLEX-ID 1194651 (Transaction #1134) reflected \$105,520 in D&D with 15 Inland Carrier Delay entries. The full analysis supporting these findings is set forth in Suppl. Ex. 3.

⁶⁵ Expert testimony is only admissible if it “will assist the trier of fact to understand the evidence or to determine a fact in issue.” FED. R. EVID. 702. “Expert testimony which does not relate to any issue in the case is not relevant and ergo, non-helpful. *Daubert v. Merrell Dow Pharmaceuticals, Inc.*, 509 U.S. 579, 591 (1993) (quoting 3 WEINSTEIN & BERGER ¶ 702[02], p. 702–18).

cite the documents it relies upon, omits Bates numbers, does not disclose the compensation paid to Kardian, and lacks a complete list of other proceedings in which he has provided expert testimony.⁶⁶ All of these factors reduce the credibility of Kardian's methodology and opinions.⁶⁷

Considering the deficiencies in Flexport's expert report and discovery, and relying on what data Flexport did produce, the record evidence irrefutably supports Peloton's position: Flexport has failed to offer any reasonable explanation for the vast majority of the disputed charges, thus placing them in clear violation of the Shipping Act. Based on Flexport's own data, only \$1.8 million in charges could even arguably be attributed to Peloton, while Flexport has not produced any evidence showing that the remaining \$31.8 million in D&D charges were connected to Peloton's actions in any way. The record, therefore, establishes that Flexport's conduct was unreasonable and led to Peloton paying \$33.7 million in D&D charges it should not have had to pay. Accordingly, Peloton is entitled to full reparations, in the amount of \$33.7 million, consistent with the record evidence and applicable legal standards.

B. PELOTON MUST BE REPAID FOR THE D&D CHARGES IT WAS FORCED TO PAY AND OTHER COSTS INCURRED.

To recover damages, a complainant must establish the extent of the loss or injury with a reasonable degree of certainty. *Cal. Shipping Line, Inc. v. Yangming Marine Transp. Corp.*, Dkt. No. 88-15, 1990 WL 427466, at *23 (FMC Oct. 19, 1990). "The term 'actual damages,' ... *includes all damages sustained, except punitive or exemplary damages.*" *Id.* (citing 22 Am. Jur. 2d Damages § 904, at 926) (emphasis added). The "proper measure of damages is not reduced to one simple formula, but must be evaluated on the individual facts of the case and calculated in

⁶⁶ See *infra*, p. 74.

⁶⁷ See *infra*, p. 74.

order to make the injured party whole.” *Yakov Kobel v. Hapag-Lloyd*, Dkt. No. 10-06, 2014 WL 5316331, at *14 (ALJ July 30, 2014).⁶⁸

The Smith Expert Report and the Smith Suppl. Expert Report identify \$33.7 million in inland non-freight transportation charges—demurrage, detention, and storage—incurred by Peloton as a direct result of Flexport’s misconduct. D-1442, Smith Expert Report, ¶ 34; D-1659, Smith Suppl. Expert Report, ¶ 6. D-1439, Smith Expert Report, ¶ 25. After reviewing Peloton’s Coupa system, speaking with Peloton employees, and conducting quality assurance checks on the accuracy of the Peloton data, Smith concluded “to a reasonable degree of economic certainty, that Peloton has incurred damages totaling at least \$33.7 million in payments for D&D and yard and warehouse storage incurred in connection with inland transportation on Flexport shipments.” D-1432, Smith Expert Report, ¶ 8. Notably, Flexport’s own corporate representative, Ryan Tanner, confirmed the totality of the referenced charges as reflected in the exhibits attached to Peloton’s Amended Complaint. PFF ¶ 56.

Smith’s analysis is backed by extensive documentation. Exhibit 1 of the Smith Expert Report is a 128-page chart listing the D&D charges incurred and paid by Peloton related to Peloton Shipments transported by Flexport. D-1469-D-1597, Exhibit 1 of the Smith Expert Report. Exhibit

⁶⁸ See also *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, Dkt. No. 16-16, 2021 WL 4554718, at *28 (FMC Sept. 29, 2021) (quoting *Tractors & Farm Equip. Ltd. v. Cosmos Shipping Co.*, Dkt. No. 81-57, 1992 FMC LEXIS 86, at *52-53 (ALJ Nov. 23, 1992 (“The statements of the Commission in [*California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213 (FMC 1990)] and other cases are in the mainstream of the law of damages as followed by the courts, for example, regarding the principles that the fact of injury must be shown with reasonable certainty, ***that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences***, the principle that the damages must be foreseeable or proximate or, in contract law, within the contemplation of the parties at the time they entered the contract, the fact that speculative damages are not allowed, and that regarding claims for lost profits, there must be reasonable certainty so that the court can be satisfied that the wrongful act caused the loss of profits.”) (emphasis added).

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1 provides extensive information, including: (i) the charges paid, (ii) the FLEX-IDs, (iii) the nature of the charge (e.g., demurrage, detention, yard and warehouse storage, etc.), (iv) the invoice amounts, and (v) the dates that the invoices were posted. Exhibit 3 of the Smith Suppl. Expert Report is a 56-page document detailing the D&D charges incurred and paid by Peloton and an analysis of the underlying causes of delays that resulted in these charges. D-1670-D-1726, Exhibit 3 of the Smith Suppl. Expert Report. In contrast, Flexport has offered no expert testimony, report or other credible evidence to rebut Smith's D&D charges analysis. Flexport's silence in the face of these thorough, well-supported analyses speaks volumes—these expert conclusions are based on sound methodology, stand wholly uncontested, and should be given substantial weight by the Presiding Officer. *See In re Avaya Inc.*, 602 B.R. 445, 456, 459-60, 463 (S.D.N.Y. 2019) (district court confirming *de novo* that court did not err in relying on an unrebutted and qualified expert report to calculate damages).

In sum, the record evidence—corroborated by both the Coupa and Flexport's CORE data, validated by Flexport's corporate representative, and subjected to stringent quality checks—establishes, to a reasonable degree of economic certainty, that Peloton incurred at least \$33.7 million in D&D and related storage costs on Flexport shipments. Beyond this, and as outlined below, Flexport's refusal to produce key documents and information further supports granting adverse inferences in Peloton's favor. While Peloton's container-by-container analysis fully substantiates its losses—and provides a reliable and just foundation for awarding reparations, any informational gaps are a direct result of Flexport's own failure to fulfill its discovery responsibilities, and Peloton cannot reasonably be penalized for Flexport's failure to produce information that should be in its possession that it chose to withhold in violation of this court's

orders. If the Commission chooses not to draw adverse inferences in Peloton's favor, however, Rule 251 offers a procedural solution. Under 46 C.F.R. § 502.251, where damages relate to numerous shipments or complex records, the Commission may first determine liability and entitlement to reparations, then afford the parties an additional opportunity to present or supplement evidence regarding the quantum of damages. This procedure would ensure that Peloton would not be penalized for Flexport's discovery failures. The Commission should accept reasonable estimates, draw adverse inferences as appropriate, and, if necessary, rely on Rule 251 to ensure a full and fair determination of reparations owed.

VII. PELOTON MOVES FOR DISCOVERY SANCTIONS⁶⁹ DUE TO FLEXPORT'S FAILURE TO OBEY THE PRESIDING OFFICER'S DISCOVERY ORDERS AND ITS CONDUCT THROUGHOUT DISCOVERY.⁷⁰

Peloton requests that the Presiding Officer issue sanctions based on Flexport's violation of discovery orders and bad faith conduct demonstrated through abusive litigation practices. Peloton makes this request because (1) Flexport *continues* to unjustifiably fail to produce relevant documents in contravention of orders from the Presiding Officer; (2) Flexport and its counsel have engaged in poor conduct and unreasonable tactics that substantially delayed discovery and muddled the evidentiary record; and (3) these actions have prejudiced Peloton, the judicial process, and the FMC's regulatory mandate. Here, the scope and severity of Flexport's willful and

⁶⁹ Peloton introduces this motion as part of briefing in accordance with the Presiding Officer's June 30, 2025 Order. A-0299, Dkt. 72 ("The parties are directed to address any unresolved discovery issues in their respective briefs.")

⁷⁰ Meet and Confer Certification: The parties have met and conferred about these issues several times. Most recently, on July 17, 2025, Peloton counsel sent Flexport counsel a letter addressing Flexport's ongoing failure to comply with the Presiding Officer's discovery orders and materially incomplete production. Flexport counsel did not respond until one week later, on July 25, 2025, and did not specifically address the concerns raised in Peloton's letter. Peloton replied to Flexport's email on August 1, 2025 but, as of the date of this filing, has received no further correspondence from Flexport regarding the discovery issues for which Peloton is now seeking sanctions.

continuing violations warrant discovery sanctions in the form of adverse inferences in favor of Peloton on liability and damages, as well as any other relief the Presiding Officer deems proper.

A. FLEXPORT’S DISCOVERY ORDER VIOLATIONS WARRANT DISCOVERY SANCTIONS

FMC regulations expressly authorize a Presiding Officer, when faced with a party’s failure or refusal to obey an order requiring disclosures or to respond to a discovery request, upon motion of a party or his or her own initiative, to “make such orders in regard to the failure or refusal as are just.” 46 C.F.R. § 502.150(b)(1). An order from the presiding officer may:

(1) Direct that the matters included in the order or any other designated facts must be taken to be established for the purposes of the action as the party making the motion claims; (2) Prohibit the disobedient party from supporting or opposing designated claims or defenses, or from introducing designated matters in evidence; or (3) Strike pleadings in whole or in part; staying further proceedings until the order is obeyed; or dismissing the action or proceeding or any party thereto, or rendering a decision by default against the disobedient party.

46 C.F.R. § 502.150(b)(1). Discovery sanctions are appropriate when the violative conduct is knowing and intentional. *See* Fed R. Civ. P. 37(e) Advisory Committee Notes to 2015 amendment; *see also Borum v. Brentwood Village, LLC*, 332 F.R.D. 38, 48-49 (D.D.C. 2019). Given that Flexport flouted *four* discovery orders and Peloton’s multiple attempts to address the ongoing deficiencies, Flexport’s discovery violations were clearly willful, and sanctions are the only appropriate remedy.

Flexport’s production has been deficient from the beginning of this litigation—its initial production only included shipping documents from October 2021 onward, despite a Relevant Time Period commencing on January 1, 2020. PFF ¶¶ 383, 386. After first asserting that “Flexport produced all documents relating to every shipment for which charges were assessed as identified in Peloton’s Exhibit A,” two months later Flexport’s counsel claimed the unilateral October 2021 cut-off was “on me, not Flexport” and that he had inadvertently failed to upload all the files. PFF

¶ 386. This revelation was then followed by four discovery orders from this Court—issued on March 25, April 22, May 15, and June 30, 2025—directing Flexport to produce communications with contracted carriers, internal communications regarding Peloton’s containers or shipments, shipment records, and D&D policies, procedures, training programs, internal deliberations, and analyses. PFF ¶¶ 390, 391, 395, 397, 400; A-0119, Dkt. 47, Order on Motion for Protective Order, Cease and Desist Remedy, and Motions to Compel; A-0121, Dkt. 52, Order on Complainant's Third Motion to Extend Schedule; A-0123, Dkt. 62, Order on Pending Motions; A-0285, Dkt. 72, Order on Pending Motions and Complainants Unilateral Status Report and Amending Scheduling Order. In response to all four of these orders, Flexport produced a mere *seven* emails, some shipment data circumscribed to August 2021-October 2021, duplicative invoices, duplicative D&D tariffs, an OSRA addendum, and four short, partial training videos. PFF ¶ 396, 398. The entirety of Flexport’s production continues to be deficient in the following ways:

- Flexport has not produced comprehensive delivery orders, NVOCC NRAs, or bills of lading, despite promising to do so and in violation of the May 15 order. PFF ¶ 401.
- For the over 7,000 shipments moved by Flexport and its contractors, Flexport has produced *de minimis* emails with its ocean carriers—a total of 17 sent directly from the carriers. Flexport has also produced *de minimis* emails with its contracted truckers. The emails that were produced contain little to no information concerning the basis of D&D charges. This scant production of carrier communication violates the March 25, April 22, May 15, and June 30 orders and contradicts deposition testimony.⁷¹ PFF ¶402.

⁷¹ See, e.g., Peckham Dep. Tr. 103:18-23 (communications with preferred truckers happened “[o]n the Flexport platform you can tag truckers and have a conversation there, or email”).

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- Flexport has produced no data or communication from the Transmission platform⁷², in violation of March 25, April 22, May 15, and June 30 orders. PFF ¶ 412.
- Flexport has produced no data or communication from the Warehouse platform, in violation of March 25, April 22, May 15, and June 30 orders. PFF ¶418.
- Flexport has produced limited internal communications concerning D&D charges, no internal notes from CORE and no internal emails established in deposition testimony, in violation of the May 15 and June 30 orders.⁷³ PFF ¶ 415.
- Flexport has failed to produce trainings and repositories of documents used to train, instruct, and provide guidance to Flexport employees on D&D and FMC compliance in violation of the May 15 and June 30 orders. PFF ¶¶ 420, 421.

Given Flexport’s repeated and ongoing violations, its multiple false representations of the completeness of its production,⁷⁴ and Peloton’s repeated notice to Flexport of the deficiencies, there can be no doubt that Flexport knowingly violated discovery orders in this matter. Flexport’s refusal to produce these documents has deprived Peloton of its right to litigate its claims on a

⁷² “Transmission” is an application that facilitates logistics functions, including communications with trucking companies, delivery coordination, proofs of delivery, work orders, and terminal appointments. PFF ¶¶ 56, 249, 411.

⁷³ See, e.g., B-0636, Peckham Dep. Tr. 138:10-19 (describing how he was in “constant communication” with the operations team via internal notes in Core and emails).

⁷⁴ Flexport counsel’s multiple inaccurate representations regarding the completeness of Flexport’s discovery responses further aggravates the egregiousness of its violations. PFF ¶¶ 387-389, 403, 439. See, e.g., *Ober v. County of L.A.*, 2014 U.S. Dist. LEXIS 78027, *20-21 (C.D. Cal. Mar. 27, 2014) (finding that sanctions are “mandatory under [Fed. R. of Civ. Proc.] 26(g), which requires that counsel make a reasonable investigation and effort to certify that the client has provided all available, responsive information and documents”).

complete record—discovery sanctions are thus the only appropriate remedy to ensure Flexport does not further benefit from its violations.⁷⁵

B. DISCOVERY SANCTIONS ARE APPROPRIATE AS FLEXPORT’S CONDUCT THROUGHOUT DISCOVERY DEMONSTRATED BAD FAITH

The record in this proceeding reveals a consistent and troubling pattern of bad faith conduct that further warrants discovery sanctions. The FMC has recently held that sanctions for discovery misconduct is appropriate when such conduct is willful or in bad faith. *Marine Transport Logistics v. CMA CGM, S.A.*, Dkt. No. 22-23, 2024 WL 5229686, at *29 (ALJ Dec. 18, 2024); *see also SM Line Corp.*, at *33 (requiring a bad faith showing where adverse inferences sanctions were requested for spoliation). Bad faith extends to a “full range of litigation abuses.” *Chambers v. NASCO, Inc.*, 501 U.S. 32, 46 (1991). It includes “conduct done vexatiously, wantonly, or for oppressive reasons.” *Am. Unites for Kids v. Rousseau*, 985 F.3d 1075, 1090 (2021). A party also demonstrates bad faith by “delaying or disrupting the litigation.” *Primus Auto. Fin. Servs. Inc. v. Batarse*, 115 F. 3d 644, 649 (9th Cir. 1997) (internal quotation marks and citation omitted).

Flexport’s pervasive failures to produce important supply chain documents, as summarized in the six bulleted points in the preceding section, and beyond the pale behavior throughout discovery demonstrate bad faith as they served no other purpose than to cause disruption and hamper Peloton’s ability to develop a full and complete record . Examples of such behavior include, but are not limited to:

⁷⁵ The Presiding Officer previously recognized the importance of a fulsome production by Flexport—“[T]he information necessary to determine whether Flexport’s practices were reasonable or unreasonable *may well be entirely in the possession of Flexport*, reinforcing the import of discovery and a more fully developed record here in fairness to Peloton...” A-0108, Dkt. 35, Order Denying Motion for Judgment on the Pleadings and Denying Cross-Motion to Strike at 7 (emphasis added); *see also* A-0125, Dkt. 62, Order on Pending Motions at 3.

- Violating 46 CFR § 502.141 by failing to disclose and produce documents relied on in an expert report, the expert’s list of prior proceedings, or compensation received for participation, even after Peloton notified Flexport of the deficiencies. PFF ¶ 433.
- Resorting to interruptions, intimidation, ad hominem attacks, and deliberate attempts to undermine witness testimony during depositions.⁷⁶ PFF ¶¶ 468-471.
- Scheduling, and then failing to appear for, without notice, a deposition of one of Peloton’s expert witnesses. PFF ¶¶ 441-450.

The most egregious example of this behavior occurred in connection with the deposition of Peloton expert witness Richard Roche. In a transparent attempt at witness tampering, prior to Roche’s deposition, Flexport’s Senior Director of Compliance and 143(b)(6) corporate witness, Ryan Tanner, sent a letter to the NCBFAA—a professional association where Roche has long volunteered—clearly geared toward harming Roche’s professional reputation and deterring him from testifying. PFF ¶ 464. Despite Peloton counsel notifying Flexport counsel of this conduct, without notice Tanner attended the entirety of Roche’s deposition in an apparent attempt to influence Roche’s testimony. PFF ¶ 467. When Peloton counsel raised concerns, Flexport counsel mockingly referred to Roche as “a strong strapping fellow” and asked if Roche was “scared of Mr. Tanner only by not for anyone else at Flexport?” PFF ¶ 470. Flexport extended these attacks to outside counsel—calling the associate defending the deposition “pathetic,” dismissing the witness

⁷⁶ See B-2350-2354, Angad Gadhok Dep. Tr. 4:3-8:21 (demanding Peloton counsel not be in the same room as a Peloton witness); B-1260-1264, Nable Dep. Tr. 9:6-13:16 (insisting a Peloton paralegal be ejected without legitimate basis); B-0986-0987, Breck Dep. Tr. 7:10-8:11 (despite initially insisting that Peloton’s paralegal be excluded from a deposition—only to later concede their position was incorrect—Flexport counsel brought its non-lawyer 143(b)(6) witness, Tanner, to sit in on a deposition, even though he was set to be deposed two days later); B-1053-1058, Breck Dep. Tr. 74:1-79:15 (misrepresenting the findings of the March 25, 2025 hearing in an effort to limit testimony).

intimidation concerns as “naïve,” “laughable,” “nonsensical,” and “ridiculous,” and refusing to give counsel the opportunity to address the issue with the ALJ prior to proceeding with the deposition. PFF ¶ 468, 471.

Witness tampering is sufficient to demonstrate bad faith and warrant discovery sanctions in federal court. *See generally Riley v. City of New York*, No. 10-CV-2513(MKB), 2015 WL 541346, at *12 (E.D.N.Y. Feb. 10, 2015) (imposing monetary sanctions and permitting the jury to draw an adverse inference based on witness tampering allegations). Given that this incident was part of a larger pattern of vexatious behavior by Flexport and its counsel, such behavior warrants discovery sanctions.⁷⁷

C. ADVERSE INFERENCE IS THE APPROPRIATE SANCTION TO ADDRESS FLEXPORT’S VIOLATIONS AND CONDUCT

Despite Flexport’s discovery violations, there is a substantial record of Flexport’s Shipping Act violations and the harm done to Peloton. Flexport, however, should be held accountable for its actions that have prejudiced Peloton and the Commission by depriving both of a complete record. Adverse inference is the most appropriate sanction given the discovery violations and current posture of these proceedings. *See Worldwide*, 2012 WL 11914713, at *5 (imposing adverse inferences against parties who failed to comply with discovery orders); *Muhammad Rama v. Michelle Franklin, D.B.A. “The Right Move” Inc.*, Dkt. No. 19-03, 2020 WL 2538465, at *15 (ALJ May 12, 2020) (finding communications between Respondent and carriers who handled the shipments should have been produced in response to a reasonable and relevant discovery request, but were not despite repeated requests and an order from the ALJ, and that this “prevented the

⁷⁷ *See Bois v. Levi Strauss & Co.*, No. 3:23-cv-027720TLT, Dkt. No. 210 at 7-10 (N.D. Cal. Aug. 7, 2025) (Order Granting-in-Part and Denying-in-Part Motion for Sanctions) (imposing sanctions when counsel’s conduct constituted “recklessness motivated by the improper purpose of harassing Defendant and its counsel and diverting attention away from trial preparation to gain a tactical advantage”).

discovery of relevant evidence and justified an inference that the responses would have been adverse to the Respondent's interest"). When a party withholds information, it is reasonable to infer that the withheld evidence would be unfavorable to that party. *See Jamteck Int'l Shipping Inc. and Angella Barnett-Walker – Possible Violations of the Commission's Regulations at 46 C.F.R. Part 515*, Dkt. No. 07-09, 2009 FMC LEXIS 13, at *10 (ALJ July 27, 2009) (noting that a party's failure to produce documents "gives rise to an inference that the evidence is unfavorable" to it). In light of Flexport's willful discovery violations, Peloton respectfully requests that the Presiding Officer impose adverse inferences by deeming relevant, contested facts established in Peloton's favor, or, in the alternative, by inferring that any withheld evidence would be unfavorable to Flexport. The relief sought is warranted to remedy the prejudice caused by Flexport's misconduct and to ensure the integrity of the discovery process.

VIII. CONCLUSION

The substantial record in this proceeding establishes well beyond the preponderance of the evidence standard required that Flexport repeatedly violated the Shipping Act and OSRA, resulting in significant and unwarranted harm to Peloton. In summary:

- Flexport levied \$26 million in charges against Peloton that were solely the result of Flexport's own conduct. An additional \$5.8 million in charges remained inadequately documented, as Flexport failed to demonstrate their reasonableness. Of the remaining amounts, \$1.7 million reflected shared responsibility between the parties, while only \$134,520 was attributable exclusively to Peloton. Throughout, Flexport repeatedly failed to provide proper documentation justifying the D&D charges they originated and imposed. *See supra* Section VI.A.

- Flexport systematically charged Peloton for D&D under its own tariff without assessing fault or considering external factors, prioritizing profit over incentivizing cargo movement in blatant disregard of the Incentive Principle, and resulting in D&D charges that significantly exceeded industry standards. *See supra* Sections V.A.4.a)-b) and d).
- Flexport’s applied D&D charges through its automated CORE system based solely on time elapsed and tariff rates, with minimal human review, no investigation into underlying causes, and no meaningful mechanism for reducing or waiving improper charges. *See supra* Sections V.A.4.d)(1)-(3).
- Flexport routinely charged Peloton D&D for delays caused by Flexport’s own failures—such as chassis shortages, port congestion, and inland carrier issues—which were outside Peloton’s control and violated FMC standards. *See supra* Sections V.A.4.d)(3)(a)-(c).
- Flexport failed to provide critical shipment data or transparent justification for millions in D&D charges, undermining Peloton’s ability to challenge those fees and violating industry requirements for supporting documentation. *See supra* Section V.A.4.d)(4).
- Even amid widespread pandemic-related supply chain disruptions, Flexport continued its practices unchanged, pursuing maximum booking volume and D&D charges at Peloton’s expense, in clear contravention of the Shipping Act and OSRA billing requirements. *See supra* Section V.A.4.d)(5).

Flexport’s violations had direct and severe financial consequences—Peloton was forced to pay tens of millions of dollars in D&D charges that should never have been assessed. The evidence is overwhelming that Flexport’s systematic noncompliance and disruption went beyond mere isolated, procedural missteps and constituted a fundamental disregard for the obligations imposed

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by the Shipping Act. They were unreasonable, repeated practices in violation of the Shipping Act.

Accordingly, Peloton seeks an award of reparations in the principal amount of \$33,711,429.24, together with pre-judgment interest, attorneys' fees, and any further relief deemed just and proper under 46 U.S.C. § 41305. Peloton further requests that the Presiding Officer impose appropriate remedies, including an adverse inference that withheld evidence is unfavorable to Flexport. Such measures are appropriate to ensure accountability and to uphold the integrity of the Shipping Act's protections for shippers like Peloton.

Dated: August 14, 2025

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the date which appears below, the undersigned served the attached document on counsel for Respondent at the following email addresses:

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Dated: August 14, 2025

/s/ Kristine O. Little
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